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Colombo 02  
Sri Lanka

## INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASIA ASSET FINANCE PLC

### Report on the Financial Statements

We have audited the accompanying financial statements of Asia Asset Finance PLC, which comprise the statement of financial position as at 31<sup>st</sup> March, 2016 and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information as set out on pages 05 to 47.

### Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as the Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

### Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### Opinion

In our opinion, the financial statements give a true and fair view of the financial position of Asia Asset Finance PLC as at 31<sup>st</sup> March, 2016 and its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

### Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above.
- b) In our opinion:
  - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company,
  - The financial statements of the company, comply with the requirements of section 151 of the Companies Act No.07 of 2007.

  
BDO PARTNERS  
CHARTERED ACCOUNTANTS  
Colombo  
03<sup>rd</sup> May, 2016  
TS/cc

ASIA ASSET FINANCE PLC  
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME  
FOR THE YEAR ENDED 31ST MARCH, 2016

Page 1

|                                                                                                               | Note | 2015/2016<br>Rs. | 2014/2015<br>Rs. |
|---------------------------------------------------------------------------------------------------------------|------|------------------|------------------|
| Interest income                                                                                               | 5    | 1,265,001,829    | 850,447,095      |
| Less: Interest expenses                                                                                       | 6    | (592,688,880)    | (480,997,160)    |
| Net Interest income                                                                                           |      | 672,312,949      | 369,449,935      |
| Net Trading gain/(loss) on held for trading securities                                                        |      | (7,947,048)      | 24,610,913       |
| Other operating income                                                                                        | 7    | 126,754,722      | 72,900,766       |
| <b>Less: Operating expenses</b>                                                                               |      |                  |                  |
| Personnel expenses                                                                                            |      | (249,869,486)    | (178,237,431)    |
| Provision for staff retirement benefits                                                                       |      | (3,123,711)      | (2,630,870)      |
| General and administration expenses                                                                           |      | (197,588,640)    | (137,297,937)    |
| Impairment charge for lease rentals receivable, hire purchase, loans and advances                             | 8    | (83,947,606)     | (24,748,372)     |
| <b>Operating profit before value added tax on financial services</b>                                          |      | 256,591,180      | 124,047,004      |
| Value added tax on financial services                                                                         |      | (47,358,658)     | (21,284,545)     |
| <b>Operating profit before income tax</b>                                                                     | 9    | 209,232,522      | 102,762,459      |
| Income tax expense                                                                                            | 10   | (34,014,398)     | (1,576,655)      |
| <b>Profit for the year</b>                                                                                    |      | 175,218,124      | 101,185,804      |
| <b>Other comprehensive income not to be reclassified to profit or loss in subsequent periods (net of tax)</b> |      |                  |                  |
| Actuarial gain/(loss) on retirement benefit liability                                                         |      | 837,345          | (1,049,754)      |
| Deferred tax effect on components of other comprehensive income                                               |      | (234,457)        | 293,931          |
| <b>Other comprehensive income for the year net of tax</b>                                                     |      | 602,888          | (755,823)        |
| <b>Total comprehensive income for the year</b>                                                                |      | 175,821,012      | 100,429,981      |
| <b>Earnings per share - basic</b>                                                                             | 32   | 0.21             | 0.15             |

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 47 form an integral part of these financial statements.

Colombo  
03rd May, 2016



ASIA ASSET FINANCE PLC  
STATEMENT OF FINANCIAL POSITION  
AS AT 31ST MARCH, 2016

Page 2

|                                                                              | Note | 31.03.2016<br>Rs.    | 31.03.2015<br>Rs.    |
|------------------------------------------------------------------------------|------|----------------------|----------------------|
| <b>ASSETS</b>                                                                |      |                      |                      |
| Cash and cash equivalents                                                    | 12   | 690,797,870          | 446,524,236          |
| Investment in reverse repurchase agreements against treasury bills and bonds | 13   | 328,866,266          | 259,698,505          |
| Other financial assets                                                       | 14   | 8,817,330            | 9,254,835            |
| Financial assets - Held for trading                                          | 15   | 48,244,689           | 69,263,955           |
| Loans and advances                                                           | 16   | 4,825,421,160        | 2,887,370,640        |
| Lease rentals receivable and hire purchase                                   | 17   | 1,702,419,253        | 1,250,527,130        |
| Vehicle stock                                                                |      | -                    | 46,797,426           |
| Real estate inventories                                                      |      | 34,468,475           | 41,698,793           |
| Other assets                                                                 | 18   | 14,958,827           | 23,966,862           |
| Income tax receivable                                                        |      | -                    | 3,472,184            |
| Advances, deposits and prepayments                                           | 19   | 60,178,750           | 47,261,648           |
| Financial assets - available for sale                                        | 20   | 506,659              | 578,617              |
| Property, plant and equipment                                                | 21   | 145,026,853          | 67,526,350           |
| Investment property                                                          | 22   | 143,706,564          | 80,842,794           |
| Deferred tax assets                                                          |      | 100,402,344          | 97,845,584           |
| Intangible assets                                                            | 23   | 11,585,662           | 11,778,038           |
| <b>Total assets</b>                                                          |      | <b>8,115,400,702</b> | <b>5,344,407,597</b> |
| <b>LIABILITIES</b>                                                           |      |                      |                      |
| Due to banks                                                                 | 24   | 166,925,303          | 62,326               |
| Other liabilities                                                            | 25   | 40,410,784           | 31,553,729           |
| Current tax liabilities                                                      | 26   | 28,044,517           | -                    |
| Other borrowed funds                                                         | 27   | 1,609,833,175        | 344,516,666          |
| Due to customers                                                             | 28   | 4,796,299,899        | 3,672,180,230        |
| Retirement benefit obligation                                                | 29   | 12,355,588           | 10,384,222           |
| <b>Total liabilities</b>                                                     |      | <b>6,653,869,266</b> | <b>4,058,697,173</b> |
| <b>EQUITY</b>                                                                |      |                      |                      |
| Stated capital                                                               | 30   | 1,388,935,273        | 1,388,935,273        |
| Retained earnings                                                            |      | 27,016,515           | (140,013,446)        |
| Statutory reserve fund and other reserves                                    | 31   | 45,579,648           | 36,788,597           |
| <b>Total equity</b>                                                          |      | <b>1,461,531,436</b> | <b>1,285,710,424</b> |
| <b>Total equity and liabilities</b>                                          |      | <b>8,115,400,702</b> | <b>5,344,407,597</b> |
| <b>Contingent liabilities and commitments</b>                                | 33   | <b>210,794,538</b>   | <b>24,439,125</b>    |
| <b>Net assets value per share</b>                                            |      | <b>1.74</b>          | <b>1.53</b>          |

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 47 form an integral part of these financial statements.

These Financial Statements are in compliance with the requirements of the Companies Act No.07 of 2007.



Geethika Elwalage

Assistant General Manager - Finance & IT

The Board of Directors is responsible for the preparation and presentation of the Financial Statements.

Approved and Signed for and on behalf of the Board.



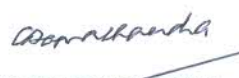
R.J.A Gunawardena

Director/Chief Executive Officer

Colombo

03rd May, 2016

TS/cc

  
C. Ramachandra  
Director



|                                                               | Stated<br>Capital<br>Rs. | General<br>Reserve<br>Rs. | Statutory<br>Reserve<br>Fund<br>Rs. | Investment<br>Fund Reserve<br>Rs. | Retained<br>Earnings<br>Rs. | Total<br>Rs.  |
|---------------------------------------------------------------|--------------------------|---------------------------|-------------------------------------|-----------------------------------|-----------------------------|---------------|
| Balance as at 31st March, 2014                                | 945,130,285              | 3,000,000                 | 28,767,098                          | 23,198,186                        | (258,620,113)               | 741,475,455   |
| Total comprehensive income for the year                       |                          |                           |                                     |                                   |                             |               |
| Profit for the year                                           | -                        | -                         | -                                   | -                                 | 101,185,804                 | 101,185,804   |
| Other comprehensive income (net of tax)                       | -                        | -                         | -                                   | -                                 | (755,823)                   | (755,823)     |
| Total comprehensive income for the year                       | -                        | -                         | -                                   | -                                 | 100,429,981                 | 100,429,981   |
| Transaction with equity holders recognized directly in equity |                          |                           |                                     |                                   |                             |               |
| Right issue of shares                                         | 447,577,513              | -                         | -                                   | -                                 | -                           | 447,577,513   |
| Direct costs relating to right issue                          | (3,772,525)              | -                         | -                                   | -                                 | -                           | (3,772,525)   |
| Transfers from reserves to retained earnings                  | -                        | -                         | -                                   | (23,198,186)                      | 23,198,186                  | -             |
| Transfers to reserves                                         | -                        | -                         | 5,021,499                           | -                                 | (5,021,499)                 | -             |
| Total transactions with equity holders                        | 443,804,988              | -                         | 5,021,499                           | (23,198,186)                      | 18,176,687                  | 443,804,988   |
| Balance as at 31st March, 2015                                | 1,388,935,273            | 3,000,000                 | 33,788,597                          | -                                 | (140,013,446)               | 1,285,710,424 |
| Total comprehensive income for the year                       |                          |                           |                                     |                                   |                             |               |
| Profit for the year                                           | -                        | -                         | -                                   | -                                 | 175,218,124                 | 175,218,124   |
| Other comprehensive income (net of tax)                       | -                        | -                         | -                                   | -                                 | 602,888                     | 602,888       |
| Total comprehensive income for the year                       | -                        | -                         | -                                   | -                                 | 175,821,012                 | 175,821,012   |
| Transaction with equity holders recognized directly in equity |                          |                           |                                     |                                   |                             |               |
| Transfers to reserves                                         | -                        | -                         | 8,791,051                           | -                                 | (8,791,051)                 | -             |
| Total transactions with equity holders                        | -                        | -                         | 8,791,051                           | -                                 | (8,791,051)                 | -             |
| Balance as at 31st March, 2016                                | 1,388,935,273            | 3,000,000                 | 42,579,648                          | -                                 | 27,016,515                  | 1,461,531,436 |

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 47 form an integral part of these financial statements.

Colombo  
03rd May, 2016



ASIA ASSET FINANCE PLC  
STATEMENT OF CASH FLOWS  
FOR THE YEAR ENDED 31ST MARCH, 2016

Page 4

|                                                                                                   | Note    | 2015/2016<br>Rs.       | 2014/2015<br>Rs.     |
|---------------------------------------------------------------------------------------------------|---------|------------------------|----------------------|
| <b>Cash flows from operating activities</b>                                                       |         |                        |                      |
| Profit before income tax                                                                          |         | 209,232,522            | 102,762,459          |
| Adjustments for                                                                                   |         |                        |                      |
| Depreciation and amortization                                                                     | 21 & 23 | 24,225,092             | 15,859,929           |
| Impairment of lease hire purchase, loans and advances                                             | 8       | 83,947,606             | 24,748,372           |
| Write off of assets held for sale                                                                 |         | 71,958                 | -                    |
| Profit on sale of held for trading securities                                                     |         | (54,379)               | (18,496,113)         |
| Gain/loss on fair valuation of held for trading securities                                        |         | 8,001,428              | (6,114,800)          |
| Gains from sale of property, plant and equipment, investment property and real estate inventories |         | (18,365,918)           | (16,796,604)         |
| Gain from disposal of vehicle stock                                                               |         | (744,665)              | -                    |
| Provision for retirement benefit liability                                                        | 29      | 3,123,711              | 3,680,624            |
| Interest expense on other borrowings                                                              |         | 98,247,817             | 39,677,991           |
| Cash generated from operations before working capital changes                                     |         | 407,685,172            | 145,321,858          |
| (Increase)/decrease in vehicle stock                                                              |         | -                      | (37,868,855)         |
| (Increase)/decrease in real estate inventories                                                    |         | -                      | (41,698,793)         |
| (Increase)/decrease in lease rentals receivable and hire purchase                                 |         | (614,351,617)          | (345,152,256)        |
| (Increase)/decrease in loans and advances                                                         |         | (1,938,050,520)        | (728,587,274)        |
| (Increase)/decrease in other receivables                                                          |         | 9,008,035              | 12,789,233           |
| (Increase)/decrease in deposits and prepayments                                                   |         | (12,917,102)           | 233,591              |
| (Increase)/decrease in financial assets - loans and receivables                                   |         | 437,505                | 102,804,850          |
| Increase in deposits from customers                                                               |         | 1,124,119,669          | 638,438,725          |
| Increase/(decrease) in commercial papers                                                          |         | -                      | (33,225,077)         |
| Increase/(decrease) in other liabilities                                                          |         | (8,857,055)            | 16,005,533           |
| Net cash used in operating activities before income tax payments                                  |         | (1,032,925,913)        | (270,938,465)        |
| Taxes paid                                                                                        |         | (4,820,000)            | (1,693,753)          |
| Gratuity paid                                                                                     |         | (315,000)              | -                    |
| <b>Net cash used in operating activities</b>                                                      |         | <b>(1,038,060,913)</b> | <b>(272,632,218)</b> |
| <b>Cash flows from / (used in) investing activities</b>                                           |         |                        |                      |
| Acquisition of property, plant and equipment                                                      | 20      | (115,217,843)          | (40,754,325)         |
| Acquisition of intangible assets                                                                  |         | (2,340,648)            | (3,612,664)          |
| Acquisition of investment property                                                                | 21      | (2,000,000)            | (55,590,000)         |
| Proceeds from sale of investment property                                                         |         | 18,494,290             | -                    |
| Proceeds from sale of real estate inventories                                                     |         | 16,680,000             | -                    |
| Proceeds from sale of vehicle inventories                                                         |         | 47,964,091             | -                    |
| Purchases of held for trading securities                                                          |         | (128,796)              | (93,397,897)         |
| Proceeds from sales of held for trading securities                                                |         | 13,350,540             | 145,925,496          |
| Proceeds from sales of property, plant and equipment                                              |         | 38,805,173             | 3,800,000            |
| <b>Net cash used in investing activities</b>                                                      |         | <b>15,606,807</b>      | <b>(43,629,390)</b>  |
| <b>Cash flows from / (used in) financing activities</b>                                           |         |                        |                      |
| Repayment of other borrowed funds                                                                 | 27      | (342,122,895)          | (157,541,333)        |
| Proceeds from other borrowed funds                                                                | 27      | 1,511,155,419          | 400,861,533          |
| Proceeds from the right issue of shares                                                           |         | -                      | 447,577,512          |
| Direct costs relating to issue of shares                                                          |         | -                      | (3,772,524)          |
| <b>Net cash generated from financing activities</b>                                               |         | <b>1,169,032,524</b>   | <b>687,125,188</b>   |
| <b>Net increase in cash and cash equivalents</b>                                                  |         | <b>146,578,418</b>     | <b>370,863,580</b>   |
| <b>Cash and cash equivalents at the beginning of the year</b>                                     | A       | <b>706,160,415</b>     | <b>335,296,835</b>   |
| <b>Cash and cash equivalents at the end of the year</b>                                           | B       | <b>852,738,833</b>     | <b>706,160,415</b>   |
| <b>At the beginning of the Year</b>                                                               |         |                        | <b>Note A</b>        |
| Cash and cash equivalents                                                                         |         | 446,524,236            | 229,616,166          |
| Investment in reverse repurchase agreements against treasury bills and bonds                      |         | 259,698,505            | 184,467,915          |
| Bank overdraft                                                                                    |         | (62,326)               | (78,787,246)         |
|                                                                                                   |         | <b>706,160,415</b>     | <b>335,296,835</b>   |
| <b>At the end of the year</b>                                                                     |         |                        | <b>Note B</b>        |
| Cash and cash equivalents                                                                         |         | 690,797,870            | 446,524,236          |
| Investment in reverse repurchase agreements against treasury bills and bonds                      |         | 328,866,266            | 259,698,505          |
| Bank overdraft                                                                                    |         | (166,925,303)          | (62,326)             |
|                                                                                                   |         | <b>852,738,833</b>     | <b>706,160,415</b>   |

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 47 form an integral part of these financial statements.

Colombo  
03rd May, 2016



**1. CORPORATE INFORMATION**

This section provides general information about Asia Assets Finance PLC.

**1.1 General**

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The company has been registered with the Central Bank of Sri Lanka as a Finance company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No.78 of 1988). The company was re-registered under the Companies Act No. 07 of 2007. The registered office of the company and the principal place of business is located at No 76/1, Dharmapala Mawatha, Colombo 03.

**1.2 Principal activities and nature of operations**

The principal activities of the company comprise of granting leases, hire purchase, mortgage loans, personal loans, group personnel loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilization of public deposits.

There were no significant changes in the nature of the principal activities of the company during the financial year under review.

**1.3 Parent entity and ultimate parent entity**

The company's immediate and ultimate parent entity as at 31<sup>st</sup> March, 2016 is Muthoot Finance Limited which is incorporated in India.

**1.4 Number of employees**

The staff strength of the company as at 31<sup>st</sup> March 2016 is 358 (235 as at 31<sup>st</sup> March 2015).

**2. BASIS OF PREPERATION AND OTHER SIGNIFICANT ACCOUNTING POLICIES**

This section provides additional information about the overall basis of preparation that the directors consider are useful and relevant in understanding these financial statements:

- Summary of other significant accounting policies affecting the results and financial position of the company, including changes in accounting policies and disclosures during the year
- Standards that have been issued for which the company has not adopted

**2.1 Basis of measurement**

The financial statements of the company have been prepared on the historical cost basis except for the following items in the statement of financial position:

| Item                                | Basis of measurement                                                                                                                                                                |
|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial assets held for trading   | Fair value                                                                                                                                                                          |
| Financial assets available for Sale | Fair value                                                                                                                                                                          |
| Retirement benefit obligation       | Liability is recognized as the present value of the retirement obligation plus unrecognized actuarial gains, less unrecognized past service cost and unrecognized actuarial losses. |

**2.2 Statement of compliance**

The financial statements of the company as at 31<sup>st</sup> March, 2016 and for the year ended have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.



These Financial Statements include the following components:

- A statement of profit or loss and statement of other comprehensive income providing the information on the financial performance of the company for the year under review.
- A statement of financial position providing the information on the financial position of the company as at the year end.
- A statement of changes in equity depicting all changes in shareholders' equity during the year under review of the company.
- A statement of cash flow providing the information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entity to utilise those cash flow and
- Notes to the financial statements comprising accounting policies and other explanatory information.

### 2.3 Responsibility for financial statements

The board of directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

### 2.4 Approval of financial statements by the board of directors

The financial statements of Asia Asset Finance PLC for the year ended 31<sup>st</sup> March, 2016 (including comparatives) were approved and authorized for issue on 03<sup>rd</sup> May, 2016 in accordance with a resolution of the board of directors on 03<sup>rd</sup> May, 2016.

### 2.5 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 36 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation.

### 2.6 Comparative information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements'. Comparative information has not been reclassified wherever necessary to comply with the current presentation.

### 2.7 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees (Rs.), which is the company's functional and presentation currency.

### 2.8 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

### 2.9 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where otherwise indicated as permitted by the Sri Lanka Accounting Standard- LKAS 01 on 'Presentation of Financial Statements'.



**2.10 Significant accounting judgements, estimates and assumptions**

The preparation of the financial statements of the company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgements, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

The key significant accounting judgements, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are as given in the related notes.

**2.10.1 Going concern**

The company's management has made an assessment on the company's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

**2.10.2 Impairment losses on lease, hire purchase and loans and advances**

The company reviews its individually significant lease, hire purchase and loans and advances at each statement of financial position date to assess whether an impairment loss should be recorded in the statement of comprehensive Income. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Lease, Hire Purchase, Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are assessed collectively, in groups of assets with similar characteristics, to determine whether provision should be made based on incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios, etc.), and judgements on the effect of concentrations of risks.

The impairment loss on loans and advances, lease rentals receivables and hire purchase is disclosed in more detail in note 16.1 and note 17.3 to the financial statements.

**2.10.3 Impairment of available for sale financial assets**

The company reviews its financial assets classified as available for sale at each reporting date to assess whether they are impaired.

The company records impairment charges on available for sale assets when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgements.

The impairment charges for available for sale financial assets are disclosed in more detail in note 20 to the financial statements.

**2.10.4 Taxation**

The company is subject to income tax and other taxes including VAT on financial services. Significant judgement was required to determine the total provision for current, deferred and other taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.



The company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

**2.10.5 Deferred tax assets**

Deferred tax assets are recognised in respect of tax losses to the extent it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

**2.10.6 Retirement benefit obligation**

The cost of the Retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the company. Due to the long term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in note 29 to the financial statements.

**2.10.7 Useful lives of property, plant and equipment and intangible assets**

The company depreciates the property plant and equipment, using the straight line method over their estimated useful lives after taking in to account of their estimated residual values. The estimated useful life reflects the management's estimate of the period that the company intends to derive future economic benefits from the use of the property, plant and equipment. The residual value reflects the management's estimated amount that the company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

**3. GENERAL ACCOUNTING POLICIES**

**3.1 Foreign currency transactions and balances**

All foreign currency transactions are translated into the functional currency which is Sri Lankan Rupees (Rs.) at the spot exchange rate at the date of the transactions were affected. In this regard, the company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange at the reporting date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortised cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

**3.2 Financial instruments - initial recognition and subsequent measurement**

**3.2.1. Date of recognition**

All financial assets and liabilities except 'regular way trades' are initially recognised on the trade date, i.e., the date that company becomes a party to the contractual provisions of the instrument. 'Regular way trades' means purchases or sales of financial assets that requires delivery of assets within the time frame generally established by regulation or convention in the market place. Those trades are initially recognised on the settlement date.



**3.2.2. Classification and initial measurement of financial instruments**

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs that are directly attributable to acquisition or issue of such financial instrument, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss as per the Sri Lanka Accounting Standard- LKAS 39 on 'Financial Instruments: Recognition and Measurement'.

**3.2.3. Classification and subsequent measurement of financial assets**

At inception a financial asset is classified under one of the following categories:

- i) Financial Assets at Fair Value through profit or loss (FVTPL);
  - Financial Investments - Held for Trading or
  - Financial Investments - Designated as Fair value through profit or loss
- ii) Loans and receivable(L&R);
- iii) Financial Investments - Held to maturity (HTM); or
- iv) Available-for-sale (AFS) financial assets.

The company determine the classification of its financial assets at initial recognition. The classification depends on the purpose for which the investments were acquired or originated (i.e. intention) and based on the company's ability to hold.

The subsequent measurement of financial assets depends on their classification.

**3.2.3.1. Financial assets at fair value through profit or loss (FVTPL)**

Financial assets at fair value through profit or loss include financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss.

**Financial investments - designated at fair value through profit or loss**

The Company designates financial assets at fair value through profit or loss in the following circumstances;

- The assets are managed, evaluated and reported internally at fair value;
- The designation eliminates or significantly reduces an accounting mismatch, which would otherwise have arisen; or
- The asset contains an embedded derivative that significantly modifies the cash flows that would otherwise have been required under the contract.

Financial assets designated at fair value through profit or loss is recorded in the statement of financial position at fair value. Changes in fair value are recorded in 'net gain or loss on financial assets and liabilities designated at fair value through profit or loss'. Interest earned is accrued in 'interest income' using EIR while dividend income is recorded in 'other operating income' when the right to receive the payment has been established.

**3.2.4. Classification and subsequent measurement of financial liabilities**

At the inception the company determines the classification of its financial liabilities. Accordingly financial liabilities are classified as:

- i) Financial liabilities at fair value through profit or loss (FVTPL);
  - Financial liabilities - Held for trading or
  - Financial liabilities - Designated as Fair value through profit or loss
- ii) Financial liabilities at amortized cost

The subsequent measurement of financial liabilities depends on their classification.



**3.2.4.1. Financial liabilities at fair value through profit or loss**

Financial liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognised in profit or loss.

Financial liabilities are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short term profit or position taking.

Gains or losses on liabilities held for trading are recognised in the statement of profit or loss.

**3.2.4.2. Financial liabilities at amortised cost**

Financial instruments issued by the company that are not designated at fair value through profit or loss, are classified as liabilities under 'due to banks', 'due to customers', and 'Other Financial Liabilities' as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares at amortised cost using the EIR method.

After initial recognition, such financial liabilities are substantially measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognized in the statement of profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

The details of the company's financial liabilities at amortised cost are shown in note 11 to the financial statements.

**3.2.5. Reclassification of financial instruments**

The company does not reclassify any financial instrument into the 'fair value through profit or loss' category after initial recognition. Also the company does not reclassify any financial instrument out of the 'fair value through profit or loss' category if upon initial recognition it was designated as at fair value through profit or loss.

The company reclassifies non-derivative financial assets out of the 'held for trading' category and into the 'available for sale', 'loans and receivables', or 'held to maturity' categories as permitted by the Sri Lanka Accounting Standard - LKAS 39 on Financial Instruments: Recognition and Measurement. In certain circumstances the company is also permitted to reclassify financial assets out of the 'available for sale' category and into the 'loans and receivables', 'held for trading' or 'held- to maturity' category.

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a financial asset reclassified out of the 'available for sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the statement of profit or loss.

The Company may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument by instrument basis.

### **3.2.6. Derecognition of financial assets and financial liabilities**

#### **3.2.6.1. Financial assets**

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when;

- The rights to receive cash flows from the asset which have expired;
- The company has transferred its rights to receive cash flows from the assets or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either;
- The company has transferred substantially all the risks and rewards of the asset; or
- The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset and consideration received and any cumulative gain or loss that has been recognised is recognised in profit or loss.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

#### **3.2.6.2. Financial liabilities**

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

#### **3.2.7. Offsetting financial instruments**

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in the statement of financial position.

Income and expenses are presented on a net basis only when permitted under LKAS / SLFRS, or for gains and losses arising from a group of similar transactions such as in the company's trading activity.

### **3.3. Fair value measurement**

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the company.



The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The company uses various valuation methodologies that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. The use of observable and unobservable inputs and their significance in measuring fair value are reflected in our fair value hierarchy assessment.

Level 1: Inputs include quoted prices for identical instruments and are the most observable.

Level 2: Inputs include quoted prices for similar instruments and observable inputs such as interest rates, currency exchange rates, and yield curves.

Level 3: Inputs include data not observable in the market and reflect management judgement about the assumptions market participants would use in pricing the instruments.

Company review the inputs to the fair value measurements to ensure they are appropriately categorised within the fair value hierarchy. Transfers into and transfers out of the hierarchy levels are recognised as if they had taken place at the end of the reporting period.

#### **3.4. Impairment of non-financial assets**

The carrying amounts of the company's non-financial assets, other than deferred tax assets are reviewed at each Reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

#### **3.5. Provisions**

Provisions are recognised in the statement of financial position when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

#### **3.6. Fiduciary assets**

The company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the company.

#### **3.7. Standards issued but not yet effective**

The following Sri Lanka Accounting Standards were issued by the Institute of Chartered Accountants of Sri Lanka and is effective for the periods commencing on or after of 01<sup>st</sup> January, 2016.



**SLFRS 9 - Financial instruments: classification and measurement**

SLFRS 9, as issued, reflects the first phase of work on replacement of LKAS 39 and applies to classification and measurement of financial assets and liabilities as defined in LKAS 39.

SLFRS 09 was issued in 2012 and this standard will become effective on 1st January 2018. The impact on the implementation of the above standard has not been quantified yet.

**SLFRS 14 - Regulatory deferral accounts**

The scope of this standard is to specify the financial reporting requirements for regulatory deferral account balances that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation.

SLFRS 14 will become effective on 1st January 2016. The impact on the implementation of the above standard has not been quantified yet.

**SLFRS 15 - Revenue from contracts with customers**

The objective of this standard is to establish the principles that an entity shall apply to report useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from a contract with a customer.

SLFRS 15 will become effective on 01<sup>st</sup> January, 2017. The impact on the implementation of the above standard has not been quantified yet.

**IFRS 16 - Leases**

IFRS 16 eliminates the classification of leases as either operating or finance for lessees and instead, introduce a single lessee accounting model. This model reflects that leases result in a company obtaining the right to use an asset at the start of the lease and, because most lease payments are made over time, also obtaining financing. As a result, the new standard requires lessees to account for all of their leases in a manner similar to how finance leases were treated applying IAS 17.

The new standard IFRS 16, supersedes the requirement in IAS 17 leases and will become effective on 01<sup>st</sup> January, 2019.

**4. SPECIFIC ACCOUNTING POLICIES**

**4.1. Income**

Income is recognised to the extent that it is probable that the economic benefits will flow to the company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows;

**4.1.1. Net interest income**

**4.1.1.1. Interest income and interest expense**

For all financial instruments measured at amortized cost, interest income or expense is recorded using Effective Interest Rate (EIR). EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.



The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities. However, for a reclassified financial asset for which the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

**4.1.1.2. Interest on overdue rentals**

Interests from overdue rentals have been accounted for on a cash received basis.

**4.1.2. Net Trading Gain/(Loss) on held for trading securities**

Results arising from trading activities include all gains and losses from changes in fair value for financial assets 'held for trading'.

**4.1.3. Other operating income**

Other Operating income includes gains on property, plant & equipment, hiring income, rent income, dividend income and capital gains/ (Losses).

**4.1.3.1. Dividend income**

Dividend income is recognised when the company's right to receive the income is established.

**4.1.3.2. Gain or losses on disposal of property, plant and equipment, investment properties and real estates**

Gains or losses resulting from the disposal of property, plant and equipment, investment properties and real estates are accounted for on cash basis in the statement of profit or loss, in the period in which the sale occurs.

**4.1.3.3. Other income**

Other income is recognised on an accrual basis.

**4.2. Personnel expenses**

Personnel expenses include salaries and bonus, terminal benefit charges and other related expenses. The provision for bonus is recognised when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

Employees are eligible for Employees' Provident Fund (EPF) contribution and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations.

**4.3. General and administration expenses**

General and Administration expenses are recognised in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement of profit or loss in arriving at the profit for the year.

**Nation building tax (NBT) on financial services**

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act No 9 of 2009 and subsequent amendments thereto with effect from 01<sup>st</sup> January, 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on financial services.



**4.4. Income tax expense**

**Current tax**

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto at the rate of 28%.

**4.5. Earnings per share (EPS) - basic**

Basic earnings per share is calculated by dividing the net profit for the year attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding during the year, as per LKAS 33 - Earnings per share.

**4.6. Cash and cash equivalents**

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the company in the management of its short-term commitments. They are brought to financial statements at their face values or the gross values, where appropriate.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

**4.7. Investment in reverse repurchase agreements against treasury bills and bonds**

This includes Treasury bills and bonds under repurchase agreements. These investments are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (Net of transaction cost) and the receivable amount (including interest income) is recognised in the statement of profit or loss over the period of the assets using effective interest method.

**4.8. Other financial assets**

This includes investments in debentures. Other financial assets are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (Net of transaction cost) and the receivable amount (including interest income) is recognised in the statement of profit or loss over the period of the assets using effective interest method.

**4.9. Financial investments - held for trading**

Financial assets are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking. Financial investments held for trading are recorded in the Statement of Financial Position at fair value. Changes in fair value are recognised in 'Net trading gain. Dividend income is recorded in 'Other operating income' according to the terms of the contract, or when the right to receive the income has been established.

Financial investments held for trading include equities that have been acquired principally for the purpose of selling or repurchasing in the near term.

**4.10. Loans and receivables**

Lease rentals receivables, Hire Purchase, Loans and Advances.

Financial assets classified as loans and receivables include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale
- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration

After initial measurement, 'Loans and receivables' are subsequently measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'Interest income' in the statement of Profit or Loss. The losses arising from impairment are recognised in the statement of profit or loss in 'impairment charges for lease rental receivable, Hire Purchase, Loans and advances'.

**4.10.1. Leasing**

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

**4.10.2. Company as a lessor**

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the assets are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

**4.10.3. Write-off of loans and advances**

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security.

**4.10.4. Renegotiated loans**

Where possible, the company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to any criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original EIR.

**4.10.5. Reversals of impairment**

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

**4.10.6. Impairment allowance for loans and receivables**

The Company assesses at each reporting date, whether there is any objective evidence that a financial asset or a company of financial assets are impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

**4.10.7. Loans and receivables**

Losses for impaired loans are recognised promptly when there is objective evidence that impairment of loan or portfolio of loans has occurred. Impairment allowances are calculated on individual and collective basis. Impairment losses are recorded as charges to the statement of profit or loss. The carrying amount of impaired loans on the Statement of Financial Position is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognised.

**4.10.8. Individually assessed loans and receivables**

For all loans that are considered individually significant, the company assesses on a case-by-case basis at each reporting date whether there is any objective evidence that a loan is impaired. The criteria used to determine that there is such objective evidence include;

- known cash flow difficulties experienced by the borrower;
- past due contractual payments of either principal or interest;
- breach of covenants or conditions;
- the probability that the borrower will enter bankruptcy or other financial realisation; and
- a significant downgrading in credit rating by an external credit rating agency.
- For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:
  - Company's aggregate exposure to the customer;
  - The viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
  - The amount and timing of expected receipts and recoveries;
  - The extent of other creditors' commitments ranking ahead of, or pari-passu with, the Company and the likelihood of other creditors continuing to support the Company;
  - The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
  - The realisable value of security (or other credit mitigates) and likelihood of successful repossession;
  - The likely deduction of any costs involved in recovery of amounts outstanding;
  - The ability of the borrower to obtain, and make payments in, the currency of the loan if not denominated in local currency; and
  - The likely dividend available on liquidation or bankruptcy;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

**4.10.9. Collectively assessed loans and receivables**

Impairment is assessed on a collective basis to cover losses which have been incurred but have not yet been identified on loans subject to individual assessment.

**4.10.10. Incurred but not yet identified impairment**

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the company has incurred as a result of events occurring before the reporting date, which the Company is not able to identify on an individual loan basis, and that can be reliably estimated. These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the company, those loans are removed from the company and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account;

- Historical loss experience in portfolios of similar credit risk; and
- Management's experienced judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the reporting date is likely to be greater or less than that suggested by historical experience.

Loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required to cover the inherent loss. These additional macro and portfolio risk factors may include:

- Recent lending portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in laws and regulations

**4.10.11. Impairment charges for loans and receivable**

The company reviews its individually significant loans and advances including rental receivable at each statement of financial position date to assess whether an impairment loss should be recorded in the statement of profit or loss. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances including rental receivable that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, characteristic of assets, etc.), and judgments on the effect of concentrations of risks and economic data (including levels of unemployment, real estate prices indices, country risk and the performance of different individual groups).

**4.11. Vehicle stock**

Vehicle stocks represent unsold vehicles at the reporting date, which are valued at lower of cost and net realizable value after making due allowances for obsolete and slow moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost necessary to make the sale.

**4.12. Real estate inventories**

Real estate inventories represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.

**4.13. Other assets**

The company classify all their other assets as other assets and other non-financial assets. Other assets mainly comprises of advance payments, VAT receivable, and sundry receivables. Advance payments are carried at historical cost.

**4.14. Income tax**

The company is subject to income taxes. Significant judgment is required to determine the total provision for current, deferred and other taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The company recognised assets and liabilities for current deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters are different from the amounts that were initially recorded, such differences will impact the income, deferred tax amounts in the period in which the determination is made.

**Economic service charge (ESC)**

As per the provisions of the Economic Service Charge (ESC) Act No. 13 of 2006, and subsequent amendments thereto, the ESC is payable at 0.25% on 'Exempt Turnover' and is deductible from the income tax payments. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the five subsequent years.



**4.15. Financial investments-available for sale**

Available for sale financial investments include equity and debt securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are intended to be held for an indefinite period of time and may be sold in response to needs for liquidity or in response to changes in the market conditions.

The Company has not designated any loans or receivables as available for sale.

After initial measurement, available for sale financial investments are subsequently measured at fair value.

Unrealised gains and losses are recognised directly in equity (Other comprehensive income) in the 'Available for sale reserve'. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recognised in the Statement of Profit or Loss in 'Other operating income'. Where the Group holds more than one investment in the same security, they are deemed to be disposed of on a first-in first-out basis. Interest earned whilst holding available for sale financial investments is reported as interest income using the effective interest rate (EIR).

Dividends earned whilst holding available for sale financial investments are recognised in the Statement of Profit or Loss as 'Other operating income' when the right of the income has been established. The losses arising from impairment of such investments are recognised in the Statement of Profit or Loss in 'Impairment charges for loans and other losses' and removed from the 'Available for sale reserve'.

**4.15.1. Impairment of available for sale financial investments**

For available for sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment is impaired.

However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or Loss. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the Statement of Profit or Loss, the impairment loss is reversed through the Statement of Profit or Loss.

**4.16. Property, plant and equipment**

**Basis of recognition**

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment is recognised if it is probable that future economic benefits associated with the asset will flow to the company and cost of the asset can be measured reliably.

**4.16.1. Basis of measurement**

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment.



When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The company apply the cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

**4.16.2. Subsequent costs**

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day today servicing of Property, Plant and Equipment are charged to the Statement of Profit or Loss as incurred.

**4.16.3. Repairs and maintenance**

Repairs and maintenance are charged to the Statement of Profit or Loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

**4.16.4. De-recognition**

Property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the Statement of Profit or Loss in the year the asset is derecognised.

**4.16.5. Depreciation**

Depreciation is recognised in Statement of Profit or Loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives are as follows;

|                        |         |
|------------------------|---------|
| Building               | 8 Years |
| Plant                  | 8 Years |
| Furniture and Fittings | 8 Years |
| Office Equipment       | 8 Years |
| Motor Vehicles         | 4 Years |
| Computer Hardware      | 8 Years |

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment and commence to depreciate when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate.

**4.17. Intangible assets**

The company's intangible assets include the value of computer software.

**4.17.1. Basis of recognition**

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.



Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses if any.

**4.17.2. Subsequent expenditure**

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

**4.17.3. Useful economic lives, amortisation and impairment**

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss in the expense category consistent with the function of the intangible asset.

Amortisation is calculated using the straight- line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below;

Computer Software    8 years

**4.17.4. De-recognition**

Intangible assets are derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the Profit or Loss in the year the asset is derecognised.

**4.18. Investment property**

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognised at cost. Subsequent to initial recognition the investment properties are stated at cost.

**4.18.1. De-recognition**

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the statement of profit or loss in the year of retirement or disposal.

**4.18.2. Subsequent transfers to/from investment property**

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Company as an owner occupied property becomes an investment property, the company, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the Statement of Profit or Loss. When the company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

**4.19. Deferred tax assets**

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. Deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

**4.20. Due to bank**

Due to banks include bank overdrafts and long term and short term loans obtain from banks. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the statement of profit or loss. Gains and losses are recognised in the statement of profit or loss when the liabilities are derecognise as well as through the EIR amortisation process.

**4.21. Other liabilities**

Other liabilities include related party payables, VAT on Financial Services payable, retirement benefit obligation and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

**Value added tax (VAT) on financial services**

Value Added Tax (VAT) on Financial Services is calculated in accordance with Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for Value Added Tax computation of Value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rates.

**4.22. Other borrowed funds**

Debt instruments and other borrowings are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the repayable amount (including interest) is recognised in the Statement of profit or loss over the period of the loan using effective interest rate method.



**4.23. Due to customers**

Due to customers include fixed deposits and saving deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the Statement of Profit or Loss. Gains and losses are recognised in the statement of profit or loss when the liabilities are derecognise as well as through the EIR amortisation process.

**4.24. Retirement benefit obligation**

The company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.

**4.24.1 Recognition of actuarial gains and losses**

The company recognises the total actuarial gains and losses that arise in calculating the company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

**4.24.2 Funding arrangements**

The gratuity liability is not externally funded.

**4.24.3 Defined contribution plans -employees' provident fund**

The company and employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

**Defined contribution plans -employees' trust fund**

The company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

**4.25. Contingent liabilities and commitments**

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard- LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'. Contingent Liabilities are not recognised in the Statement of Financial Position but are disclosed unless its occurrence is remote.

Details of the commitments and contingencies are given in note 33 to the Financial Statements.

**4.26. Statement of cash flows**

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - 'LKAS 7' - 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents mainly comprise of cash in hand, balances at banks and bank overdrafts.

**4.27. Segment reporting**

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components. All operating segments' operating results are reviewed regularly by the senior management to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the senior management and board of directors include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The relevant disclosures are given in note 38 to the financial statements.



|                                                             | 2015/2016<br>Rs.     | 2014/2015<br>Rs.   |
|-------------------------------------------------------------|----------------------|--------------------|
| <b>5. INTEREST INCOME</b>                                   |                      |                    |
| Interest on leases                                          | 243,917,442          | 77,464,733         |
| Interest on hire purchase                                   | 88,494,113           | 128,594,708        |
| Interest on loans                                           | 771,002,678          | 542,255,744        |
| Overdue interest                                            | 38,883,339           | 36,298,285         |
| Interest on treasury bills in revenue repurchase agreements | 21,297,513           | 22,408,317         |
| Interest on bank deposits                                   | 32,350,952           | 32,548,876         |
| Interest on commercial papers                               | -                    | 7,447,717          |
| Interest on debentures                                      | 675,018              | 1,501,310          |
| Interest on gold loans                                      | 67,826,015           | 1,360,318          |
| Interest on refinancing loan                                | 554,759              | 567,087            |
|                                                             | <u>1,265,001,829</u> | <u>850,447,095</u> |

**5.1 Notional tax credit on government securities on secondary market transactions**

The Inland Revenue Act No.10 of 2006, provided that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the company for that year of assessment.

Accordingly the net interest income earned from the secondary market transactions in Government Securities for the period, has been grossed up in the financial statements by the resulting notional tax credit amounts to Rs.2,129,751/- (2015 - Rs.2,240,832/-).

|                              | 2015/2016<br>Rs.   | 2014/2015<br>Rs.   |
|------------------------------|--------------------|--------------------|
| <b>6. INTEREST EXPENSES</b>  |                    |                    |
| Interest on Fixed Deposits   | 494,441,063        | 441,319,169        |
| Interest on Other Borrowings | 98,247,817         | 39,677,991         |
|                              | <u>592,688,880</u> | <u>480,997,160</u> |

**7. OTHER OPERATING INCOME**

|                                                                                                       |                    |                   |
|-------------------------------------------------------------------------------------------------------|--------------------|-------------------|
| Documentation charges and service charges                                                             | 27,532,689         | 22,676,463        |
| Gains from disposal of property, plant and equipment, investment property and real estate inventories | 18,365,918         | 16,796,604        |
| Profit on settled contracts                                                                           | 61,556,068         | 18,957,272        |
| Dividend income                                                                                       | 1,707,000          | 2,085,384         |
| Operating lease income                                                                                | 3,420,414          | 2,969,922         |
| Rent income                                                                                           | 226,000            | 257,000           |
| Insurance commission income                                                                           | 4,008,111          | 1,919,356         |
| Sundry income                                                                                         | 7,587,204          | 2,868,560         |
| Cheque discounting administration income                                                              | 2,330,687          | 4,362,215         |
| Money gram income                                                                                     | 20,631             | 7,990             |
|                                                                                                       | <u>126,754,722</u> | <u>72,900,766</u> |

**8. IMPAIRMENT CHARGE FOR LEASE RENTALS RECEIVABLE, HIRE PURCHASE LOANS AND ADVANCES**

|                                            |                   |                   |
|--------------------------------------------|-------------------|-------------------|
| Lease rentals receivable and hire purchase | 28,613,263        | 16,870,107        |
| Loans and advances                         | 55,334,343        | 7,878,265         |
|                                            | <u>83,947,606</u> | <u>24,748,372</u> |

**9. OPERATING PROFIT BEFORE INCOME TAX**

Stated after charging all expenses including the followings :

**Included in personnel cost,**

|                                               |             |            |
|-----------------------------------------------|-------------|------------|
| Directors remuneration                        | 25,219,176  | 20,415,241 |
| Salaries and bonus                            | 101,666,640 | 74,253,223 |
| Defined contribution plan costs - EPF and ETF | 13,448,021  | 9,603,684  |
| Other staff related allowances                | 109,535,649 | 73,965,283 |

**Included in general and administration expenses,**

|                                                      |            |            |
|------------------------------------------------------|------------|------------|
| Depreciation and amortization                        | 24,225,092 | 15,859,929 |
| Auditors' remuneration - external audit current year | 1,210,000  | 1,100,000  |
| - Non audit                                          | 350,000    | 297,507    |
| Advertising and business promotion                   | 11,117,697 | 6,488,027  |
| Professional and legal fees                          | 11,558,299 | 5,338,826  |



## 10. INCOME TAX EXPENSES

The major components of income tax expense for the years ended 31st March are as follows:

### Statement of profit or loss

#### Current income tax (note 10.1)

|                                                                   |            |            |
|-------------------------------------------------------------------|------------|------------|
| Current income tax charge                                         | 37,078,730 | 10,728,147 |
| Under/(over) provision of current taxes in respect of prior years | (742,029)  | (226,806)  |

#### Deferred tax

|                                                    |                   |                  |
|----------------------------------------------------|-------------------|------------------|
| Deferred taxation                                  | (2,322,303)       | (8,924,686)      |
| Income tax expense reported in the profit and loss | <u>34,014,398</u> | <u>1,576,655</u> |

### Statement of other comprehensive income

#### Deferred tax

|                                                                |                  |                  |
|----------------------------------------------------------------|------------------|------------------|
| Deferred taxation reversal/(expense)                           | (234,457)        | (293,931)        |
| Income tax expenses reported in the other comprehensive income | <u>(234,457)</u> | <u>(293,931)</u> |

## 10.1 Reconciliation of accounting profit and taxable income

|                                                                 |                    |                   |
|-----------------------------------------------------------------|--------------------|-------------------|
| Accounting profit (profit before income tax)                    | 209,232,522        | 102,762,459       |
| Add: Disallowable expenses                                      | 560,912,763        | 283,853,675       |
| Less: Allowable expenses                                        | (588,263,626)      | (349,385,301)     |
| Less: Exempt income                                             | (73,681,938)       | (43,610,379)      |
| Add: Adjusted business loss from leasing business               | 95,529,566         | 65,325,411        |
| Statutory income                                                | 203,729,287        | 58,945,865        |
| Tax loss brought forward and utilized (35% of statutory income) | (71,305,250)       | (20,631,054)      |
| Taxable income                                                  | <u>132,424,037</u> | <u>38,314,811</u> |
| Income tax @ 28%                                                | <u>37,078,730</u>  | <u>10,728,147</u> |
| Effective Income Tax Rate                                       | 18%                | 13%               |

## 10.2 Deferred tax assets, liabilities and income tax relates to the followings:

|                                               | Statement of Financial Position |                    | Statement of Comprehensive Income |                    |
|-----------------------------------------------|---------------------------------|--------------------|-----------------------------------|--------------------|
|                                               | 2015/2016                       | 2014/2015          | 2015/2016                         | 2014/2015          |
|                                               | Rs.                             | Rs.                | Rs.                               | Rs.                |
| <b>Deferred tax liability</b>                 |                                 |                    |                                   |                    |
| Lease rental receivable                       | 1,858,402                       | 28,645,689         | (26,787,287)                      | 22,256,074         |
| Property, plant and equipment                 | 17,185,877                      | 9,579,963          | 7,605,914                         | 2,639,561          |
|                                               | <u>19,044,279</u>               | <u>38,225,652</u>  | <u>(19,181,373)</u>               | <u>24,895,635</u>  |
| <b>Deferred tax assets</b>                    |                                 |                    |                                   |                    |
| Retirement benefit obligation                 | 3,459,565                       | 2,907,582          | 551,983                           | 1,030,575          |
| Tax loss *                                    | 91,005,380                      | 104,395,702        | (13,390,322)                      | 29,869,922         |
| Specific provisions for doubtful debts ( LLP) | 24,981,678                      | 28,767,952         | (3,786,274)                       | 3,213,755          |
|                                               | <u>119,446,623</u>              | <u>136,071,236</u> | <u>(16,624,613)</u>               | <u>34,114,252</u>  |
| Deferred tax reversal                         |                                 |                    | <u>(2,556,760)</u>                | <u>(9,218,617)</u> |
| Net deferred tax asset                        | <u>100,402,344</u>              | <u>97,845,584</u>  |                                   |                    |

Deferred tax has been determined based on the effective tax rate of 28%.

\* As of 31 March 2016, the company has a tax loss amounting to Rs.629,314,206/- (2015 - Rs.560,085,603/-) which is available indefinitely for offsetting against future Statutory Income of the company subject to a limit of 35% of Statutory Income in each year of assessment. A deferred tax asset has been recognised upto tax loss of Rs.325,019,215/- (2015- Rs.372,841,794/-) which has arisen from Non Finance Leasing Business. However, deferred tax assets have not been recognised for the tax losses amounting to Rs.304,294,991/- arising from the Finance Leasing Business as at 31 March, 2016.

The carrying amount of deferred income tax assets is reviewed by the management at each reporting date and recognised to the extent of probable taxable profits in future.

11. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

11.1 As at 31st March, 2016

| Assets                                                                       | AFS<br>Rs.     | FVTPL<br>Rs.      | L & R<br>Rs.         | Total<br>Rs.         |
|------------------------------------------------------------------------------|----------------|-------------------|----------------------|----------------------|
| Cash and cash equivalents                                                    | -              | -                 | 690,797,870          | 690,797,870          |
| Investment in reverse repurchase agreements against treasury bills and bonds | -              | -                 | 328,866,266          | 328,866,266          |
| Other financial assets                                                       | -              | -                 | 8,817,330            | 8,817,330            |
| Financial assets - held for trading                                          | -              | 48,244,689        | -                    | 48,244,689           |
| Loans and advances                                                           | -              | -                 | 4,825,421,160        | 4,825,421,160        |
| Lease rentals receivable and hire purchase                                   | -              | -                 | 1,702,419,253        | 1,702,419,253        |
| Financial assets - available for sale                                        | 506,659        | -                 | -                    | 506,659              |
| <b>Total financial assets</b>                                                | <b>506,659</b> | <b>48,244,689</b> | <b>7,556,321,879</b> | <b>7,605,073,227</b> |

|                                    | Financial<br>Liabilities at<br>Amortized Cost<br>Rs. | Total<br>Rs.         |
|------------------------------------|------------------------------------------------------|----------------------|
| <b>Liabilities</b>                 |                                                      |                      |
| Due to customers                   | 4,796,299,899                                        | 4,796,299,899        |
| Due to banks                       | 166,925,303                                          | 166,925,303          |
| Other borrowed funds               | 1,609,833,175                                        | 1,609,833,175        |
| <b>Total financial liabilities</b> | <b>6,573,058,377</b>                                 | <b>6,573,058,377</b> |

11.2 As at 31st March, 2015

| Assets                                                               | AFS<br>Rs.     | FVTPL<br>Rs.      | L & R<br>Rs.         | Total<br>Rs.         |
|----------------------------------------------------------------------|----------------|-------------------|----------------------|----------------------|
| Cash and cash equivalents                                            | -              | -                 | 446,524,236          | 446,524,236          |
| Investment in repurchase agreements against treasury bills and bonds | -              | -                 | 259,698,505          | 259,698,505          |
| Other financial assets                                               | -              | -                 | 9,254,835            | 9,254,835            |
| Financial assets - held For trading                                  | -              | 69,263,955        | -                    | 69,263,955           |
| Loans and advances                                                   | -              | -                 | 2,887,370,640        | 2,887,370,640        |
| Lease rentals receivable and hire purchase                           | -              | -                 | 1,250,527,130        | 1,250,527,130        |
| Financial assets - available for sale                                | 578,617        | -                 | -                    | 578,617              |
| <b>Total financial assets</b>                                        | <b>578,617</b> | <b>69,263,955</b> | <b>4,853,375,346</b> | <b>4,923,217,918</b> |

|                                    | Financial<br>Liabilities at<br>Amortized Cost<br>Rs. | Total<br>Rs.         |
|------------------------------------|------------------------------------------------------|----------------------|
| <b>Liabilities</b>                 |                                                      |                      |
| Due to customers                   | 3,672,180,230                                        | 3,672,180,230        |
| Due to banks                       | 62,326                                               | 62,326               |
| Other borrowed funds               | 344,516,666                                          | 344,516,666          |
| <b>Total financial liabilities</b> | <b>4,016,759,222</b>                                 | <b>4,016,759,222</b> |

AFS Available for sale  
FVTPL Fair value through profit or loss  
L & R Loan and receivables



NOTES TO THE FINANCIAL STATEMENTS

|                                                                                         | 31.03.2016                  | 31.03.2015                  |                             |                             |
|-----------------------------------------------------------------------------------------|-----------------------------|-----------------------------|-----------------------------|-----------------------------|
|                                                                                         | Rs.                         | Rs.                         |                             |                             |
| <b>12. CASH AND CASH EQUIVALENTS</b>                                                    |                             |                             |                             |                             |
| Cash in hand                                                                            | 5,587,187                   | 8,814,532                   |                             |                             |
| Cash at banks                                                                           | 685,210,683                 | 437,709,704                 |                             |                             |
|                                                                                         | <u>690,797,870</u>          | <u>446,524,236</u>          |                             |                             |
| <b>13. INVESTMENT IN REVERSE REPURCHASE AGREEMENTS AGAINST TREASURY BILLS AND BONDS</b> |                             |                             |                             |                             |
| Reverse repurchase agreements against treasury bills and bonds                          | 328,866,266                 | 259,698,505                 |                             |                             |
|                                                                                         | <u>328,866,266</u>          | <u>259,698,505</u>          |                             |                             |
| <b>14. OTHER FINANCIAL ASSETS</b>                                                       |                             |                             |                             |                             |
| Fixed deposits                                                                          | -                           | 23,320                      |                             |                             |
| Debentures                                                                              | 8,817,330                   | 9,231,515                   |                             |                             |
|                                                                                         | <u>8,817,330</u>            | <u>9,254,835</u>            |                             |                             |
| <b>15. FINANCIAL ASSETS-HELD FOR TRADING</b>                                            |                             |                             |                             |                             |
| <b>Quoted equity securities</b>                                                         | <b>31.03.2016</b>           | <b>31.03.2015</b>           |                             |                             |
|                                                                                         | <b>Number of<br/>Shares</b> | <b>Market Value<br/>Rs.</b> | <b>Number of<br/>Shares</b> | <b>Market Value<br/>Rs.</b> |
| <b>Bank finance and insurance</b>                                                       |                             |                             |                             |                             |
| Asia Capital PLC                                                                        | 116,400                     | 675,120                     | 116,400                     | 1,012,680                   |
| Commercial Bank of Ceylon PLC (Voting)                                                  | 48,756                      | 6,118,878                   | 48,273                      | 7,984,354                   |
| Commercial Bank of Ceylon PLC (Non Voting)                                              | 36,985                      | 4,179,305                   | 36,513                      | 4,790,506                   |
| Overseas Realty (Ceylon) PLC                                                            | 88,609                      | 2,073,451                   | 88,609                      | 2,082,312                   |
| Chilaw Finance PLC                                                                      | 50                          | 840                         | -                           | -                           |
| National Development Bank PLC                                                           | 40,000                      | 6,752,000                   | 40,000                      | 9,920,000                   |
| Sampath Bank PLC                                                                        | 61,573                      | 13,915,498                  | 60,000                      | 15,126,000                  |
| Abans Finance PLC                                                                       | 50                          | 1,910                       | -                           | -                           |
| Alliance Finance Company PLC                                                            | 50                          | 37,000                      | -                           | -                           |
| Associated Motor Finance Company PLC                                                    | 50                          | 19,670                      | -                           | -                           |
| Arpico Finance Company PLC                                                              | 50                          | 9,000                       | -                           | -                           |
| Bimpu Finance PLC                                                                       | 100                         | 6,230                       | -                           | -                           |
| Capital Alliance Finance PLC                                                            | 50                          | 505                         | -                           | -                           |
| Citizens Development Business Finance PLC                                               | 50                          | 3,750                       | -                           | -                           |
| Central Finance Company PLC                                                             | 50                          | 10,500                      | -                           | -                           |
| Central Investments and Finance PLC                                                     | 50                          | 25                          | -                           | -                           |
| Commercial Leasing & Finance PLC                                                        | 50                          | 190                         | -                           | -                           |
| Commercial Credit & Finance PLC                                                         | 50                          | 2,125                       | -                           | -                           |
| Softlogic Finance PLC                                                                   | 50                          | 1,915                       | -                           | -                           |
| Nation Lanka Finance PLC                                                                | 50                          | 50                          | -                           | -                           |
| George Steuart Finance PLC                                                              | 50                          | 930                         | -                           | -                           |
| LB Finance PLC                                                                          | 100                         | 10,610                      | -                           | -                           |
| Lanka Orix Leasing Company PLC                                                          | 50                          | 140                         | -                           | -                           |
| Merchant Bank Of Sri Lanka & Finance PLC                                                | 50                          | 510                         | -                           | -                           |
| Multi Finance PLC                                                                       | 50                          | 570                         | -                           | -                           |
| Peoples Leasing Company PLC                                                             | 50                          | 800                         | -                           | -                           |
| People's Merchant Finance PLC                                                           | 50                          | 600                         | -                           | -                           |
| Singer Finance Lanka PLC                                                                | 50                          | 905                         | -                           | -                           |
| Sinhaputhra Finance PLC                                                                 | 50                          | 835                         | -                           | -                           |
| Swarnamahala Financial PLC                                                              | 50                          | 55                          | -                           | -                           |
| The Finance Company PLC                                                                 | 50                          | 400                         | -                           | -                           |
| Vallibel Finance PLC                                                                    | 50                          | 2,685                       | -                           | -                           |
|                                                                                         | <u>393,723</u>              | <u>33,827,002</u>           | <u>389,795</u>              | <u>40,915,852</u>           |
| <b>Diversified holdings</b>                                                             |                             |                             |                             |                             |
| John Keells Holding PLC                                                                 | 49,960                      | 7,394,080                   | 43,715                      | 8,716,771                   |
| <b>Manufacturing</b>                                                                    |                             |                             |                             |                             |
| Tokyo Cement Company (Lanka) PLC                                                        | -                           | -                           | 13,970                      | 766,953                     |
| <b>Health care</b>                                                                      |                             |                             |                             |                             |
| Asiri Hospital Holdings PLC                                                             | -                           | -                           | 400,000                     | 10,155,106                  |
| <b>Power and energy</b>                                                                 |                             |                             |                             |                             |
| Lanka IOC PLC                                                                           | 216,111                     | 7,023,607                   | 216,111                     | 8,709,273                   |
| <b>Total</b>                                                                            | <u>659,794</u>              | <u>48,244,689</u>           | <u>1,063,591</u>            | <u>69,263,955</u>           |





|                                                   | 31.03.2016<br>Rs.           | 31.03.2015<br>Rs.           |
|---------------------------------------------------|-----------------------------|-----------------------------|
| <b>16. LOANS AND ADVANCES</b>                     |                             |                             |
| Mortgage loans                                    | 556,733,047                 | 483,909,105                 |
| Pledge loans                                      | 329,214,112                 | 398,801,042                 |
| Personal and corporate loans                      | 1,637,545,052               | 974,580,271                 |
| Consumer loans                                    | 9,390,414                   | 10,300,544                  |
| Group personal loans                              | 827,683,416                 | 608,232,350                 |
| Cheque and invoice discounting                    | 60,229,464                  | 140,621,657                 |
| Micro finance loans                               | 757,648,012                 | 138,758,000                 |
| Sale and lease back loans                         | 1,000,001                   | 34,855,311                  |
| Project financing loan                            | 92,876,932                  | 48,158,767                  |
| Gold loan                                         | 694,875,023                 | 85,026,476                  |
| Refinancing loan                                  | -                           | 50,567,087                  |
|                                                   | <u>4,967,195,473</u>        | <u>2,973,810,610</u>        |
| Less: Allowance for impairment losses (note 16.1) | <u>(141,774,313)</u>        | <u>(86,439,970)</u>         |
|                                                   | <u><u>4,825,421,160</u></u> | <u><u>2,887,370,640</u></u> |

**16.1 Impairment allowance for loans and advances to customers**

|                                    |                           |                          |
|------------------------------------|---------------------------|--------------------------|
| As at the beginning of the year    | 86,439,970                | 78,561,705               |
| Net charge/(reversal) for the year | <u>55,334,343</u>         | <u>7,878,265</u>         |
| As at the end of the year          | <u><u>141,774,313</u></u> | <u><u>86,439,970</u></u> |
| Individual impairment              | 20,604,672                | 8,247,974                |
| Collective impairment              | <u>121,169,641</u>        | <u>78,191,996</u>        |
| Total impairment                   | <u><u>141,774,313</u></u> | <u><u>86,439,970</u></u> |

|                                                                                               | 31.03.2016<br>Rs.    | 31.03.2015<br>Rs.    |
|-----------------------------------------------------------------------------------------------|----------------------|----------------------|
| <b>17. LEASE RENTALS RECEIVABLE AND HIRE PURCHASE</b>                                         |                      |                      |
| Lease rentals receivables (note 17.1)                                                         | 1,317,971,719        | 594,866,084          |
| Hire purchases (note 17.2)                                                                    | 384,447,534          | 655,661,046          |
|                                                                                               | <u>1,702,419,253</u> | <u>1,250,527,130</u> |
| <b>17.1 Lease rentals receivables</b>                                                         |                      |                      |
| Gross rentals receivable                                                                      | 1,872,200,246        | 905,772,723          |
| Less: Unearned income                                                                         | (465,765,349)        | (241,291,665)        |
| Allowance for impairment losses                                                               | 17.3.1 (88,463,178)  | (69,614,974)         |
|                                                                                               | <u>1,317,971,719</u> | <u>594,866,084</u>   |
| <b>17.2 Hire purchases</b>                                                                    |                      |                      |
| Gross rentals receivable                                                                      | 556,577,909          | 945,129,860          |
| Less: Unearned income                                                                         | (66,527,744)         | (172,521,113)        |
| Pre-paid rentals                                                                              | (9,653,957)          | (30,764,086)         |
| Allowance for impairment losses                                                               | 17.3.2 (95,948,674)  | (86,183,615)         |
|                                                                                               | <u>384,447,534</u>   | <u>655,661,046</u>   |
| <b>17.3 Allowance for impairment losses</b>                                                   |                      |                      |
| <b>17.3.1 Lease rentals receivable</b>                                                        |                      |                      |
| As at the beginning of the year                                                               | 69,614,974           | 63,154,923           |
| Net charge/(reversal) for the year                                                            | 18,848,204           | 6,460,051            |
| As at the end of the year                                                                     | <u>88,463,178</u>    | <u>69,614,974</u>    |
| Individual impairment                                                                         | 3,173,990            | -                    |
| Collective impairment                                                                         | 85,289,188           | 69,614,974           |
| Total allowance for impairment losses                                                         | <u>88,463,178</u>    | <u>69,614,974</u>    |
| <b>17.3.2 Hire purchase</b>                                                                   |                      |                      |
| As at the beginning of the year                                                               | 86,183,615           | 75,773,519           |
| Net charge/(reversal) for the year                                                            | 9,765,059            | 10,410,096           |
| As at the end of the year                                                                     | <u>95,948,674</u>    | <u>86,183,615</u>    |
| Individual impairment                                                                         | -                    | -                    |
| Collective impairment                                                                         | 95,948,674           | 86,183,615           |
| Total allowance for impairment losses                                                         | <u>95,948,674</u>    | <u>86,183,615</u>    |
| <b>17.4 Age analysis of lease and hire purchase</b>                                           |                      |                      |
| <b>17.4.1 Lease and hire purchase receivable not later than 1 year</b>                        |                      |                      |
| Gross rentals receivable                                                                      | 596,606,844          | 309,387,503          |
| Less: Unearned income                                                                         | (149,591,105)        | (5,696,453)          |
| Pre-paid rentals                                                                              | (6,525,000)          | (23,033,910)         |
| Allowance for impairment losses                                                               | (139,112,790)        | (126,926,838)        |
|                                                                                               | <u>301,377,949</u>   | <u>153,730,302</u>   |
| <b>17.4.2 Lease and hire purchase receivable later than 1 year and not later than 5 years</b> |                      |                      |
| Gross rentals receivable                                                                      | 1,832,171,311        | 1,541,515,080        |
| Less: Unearned income                                                                         | (382,701,988)        | (408,116,325)        |
| Pre-paid rentals                                                                              | (3,128,957)          | (7,730,176)          |
| Allowance for impairment losses                                                               | (45,299,062)         | (28,871,750)         |
|                                                                                               | <u>1,401,041,304</u> | <u>1,096,796,829</u> |



|                         | 31.03.2016<br>Rs. | 31.03.2015<br>Rs. |
|-------------------------|-------------------|-------------------|
| <b>18. OTHER ASSETS</b> |                   |                   |
| Other receivables       | 14,958,827        | 23,966,862        |
|                         | <u>14,958,827</u> | <u>23,966,862</u> |

**19. ADVANCES, DEPOSITS AND PREPAYMENTS**

|                                    |                   |                   |
|------------------------------------|-------------------|-------------------|
| Advances, deposits and prepayments | 60,178,750        | 47,261,648        |
|                                    | <u>60,178,750</u> | <u>47,261,648</u> |

|                                                         | 31.03.2016          |                                | 31.03.2015          |                                |
|---------------------------------------------------------|---------------------|--------------------------------|---------------------|--------------------------------|
|                                                         | Number of<br>Shares | Directors<br>Valuation*<br>Rs. | Number of<br>Shares | Directors<br>Valuation*<br>Rs. |
| <b>20. FINANCIAL ASSETS - AVAILABLE FOR SALE</b>        |                     |                                |                     |                                |
| <b>Unquoted cumulative redeemable preference shares</b> |                     |                                |                     |                                |
| Platinum Reality Investment Limited                     | 25,000              | 6,500,000                      | 25,000              | 6,500,000                      |
| Less : Impairment charge                                |                     | (6,500,000)                    |                     | (6,500,000)                    |
|                                                         |                     | -                              |                     | -                              |
| <b>Unquoted ordinary shares</b>                         |                     |                                |                     |                                |
| Siedles T.V Industries Limited                          | 2,000               | 28,000                         | 2,000               | 28,000                         |
| Pure Beverages Company Limited                          | 709                 | 43,958                         | 709                 | 43,958                         |
| Less : Write off during the year                        |                     | (71,958)                       |                     | -                              |
|                                                         |                     | -                              |                     | 71,958                         |
| Finance Houses Consortium Private Limited               | 20,000              | 200,000                        | 20,000              | 200,000                        |
| Credit Information Bureau of SL (CRIB)                  | 67                  | 306,659                        | 67                  | 306,659                        |
|                                                         | <u>20,067</u>       | <u>506,659</u>                 | <u>22,776</u>       | <u>578,617</u>                 |

\*The Directors' valuation of non quoted securities based on cost of investment less impairment amounts to Rs.506,659/- (2015 - Rs.578,617/-).



**21. PROPERTY, PLANT AND EQUIPMENT**

**21.1 Gross carrying amounts**

|                        | Balance<br>as at<br>01.04.2015<br>Rs. | Additions<br>Rs.   | Disposals/<br>Transfers<br>Rs. | Balance<br>as at<br>31.03.2016<br>Rs. |
|------------------------|---------------------------------------|--------------------|--------------------------------|---------------------------------------|
| <b>Freehold assets</b> |                                       |                    |                                |                                       |
| <b>Cost</b>            |                                       |                    |                                |                                       |
| Plant                  | -                                     | 25,930,613         | -                              | 25,930,613                            |
| Building               | -                                     | 20,160,000         | -                              | 20,160,000                            |
| Motor vehicle          | 48,119,511                            | 24,207,779         | (27,234,084)                   | 45,093,206                            |
| Office equipment       | 41,368,676                            | 33,062,537         | -                              | 74,431,213                            |
| Computers              | 15,793,244                            | 7,330,837          | -                              | 23,124,081                            |
| Furniture and fittings | 12,365,680                            | 4,526,077          | -                              | 16,891,757                            |
|                        | <u>117,647,111</u>                    | <u>115,217,843</u> | <u>(27,234,084)</u>            | <u>205,630,870</u>                    |

**21.2 Accumulated Depreciation**

|                        | Balance<br>as at<br>01.04.2015<br>Rs. | Charge<br>for the<br>Year<br>Rs. | Disposals/<br>Transfers<br>Rs. | Balance<br>as at<br>31.03.2016<br>Rs. |
|------------------------|---------------------------------------|----------------------------------|--------------------------------|---------------------------------------|
| Plant                  | -                                     | 1,080,442                        | -                              | 1,080,442                             |
| Building               | -                                     | 1,470,000                        | -                              | 1,470,000                             |
| Motor vehicle          | 23,983,041                            | 8,452,759                        | (11,208,813)                   | 21,226,987                            |
| Office equipment       | 12,423,659                            | 7,238,319                        | -                              | 19,661,978                            |
| Computers              | 7,974,154                             | 1,852,111                        | -                              | 9,826,265                             |
| Furniture and fittings | 5,739,908                             | 1,598,437                        | -                              | 7,338,345                             |
|                        | <u>50,120,762</u>                     | <u>21,692,068</u>                | <u>(11,208,813)</u>            | <u>60,604,017</u>                     |

|                        | 31.03.2016<br>Rs.  | 31.03.2015<br>Rs. |
|------------------------|--------------------|-------------------|
| <b>Net Book Value</b>  |                    |                   |
| Plant                  | 24,850,171         | -                 |
| Building               | 18,690,000         | -                 |
| Motor vehicle          | 23,866,219         | 24,136,470        |
| Office equipment       | 54,769,235         | 28,945,017        |
| Computers              | 13,297,816         | 7,819,090         |
| Furniture and fittings | 9,553,412          | 6,625,773         |
|                        | <u>145,026,853</u> | <u>67,526,350</u> |

**21.3** During the financial year, the company acquired property, plant and equipment to the aggregate value of Rs.115,217,843/- (2015 - Rs.40,754,325/-). Cash payments amounting to Rs.95,057,843/- (2015 - Rs.40,754,325/-) was paid during the year for purchases of property, plant and equipment.

**21.4** Property, plant and equipment includes fully depreciated assets having a gross carrying amount of Rs.19,246,129/- (2014/15 - Rs.14,849,839/-).

**21.5 Temporarily idle property, plant and equipment**

There were no property, plant and equipment idle as at 31st March, 2016 and 31st March, 2015.

**21.6 Title restriction on property, plant and equipment**

There were no resolution on the title of property, plant and equipment as at 31st March, 2016 and 31st March, 2015.

**21.7 Property, plant and equipment pledged as security for liabilities**

There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March, 2016 and 31st March, 2015.

|                                        | 31.03.2016<br>Rs.  | 31.03.2015<br>Rs. |
|----------------------------------------|--------------------|-------------------|
| <b>22. INVESTMENT PROPERTY</b>         |                    |                   |
| Balance at the beginning of the year   | 80,842,794         | 98,352,117        |
| Acquisitions during the Year           | 78,612,570         | 42,590,677        |
| Expenses capitalized during the Year   | -                  | 2,699,000         |
| Disposals during the Year              | (15,748,800)       | (21,100,207)      |
| Transferred to real estate inventories | -                  | (41,698,793)      |
| Balance at the end of the year         | <u>143,706,564</u> | <u>80,842,794</u> |

Fair value of the investment property for the purpose of disclosure in note 22.2 is ascertained by valuations carried out by the independent valuers as required by LKAS 40.

**22.1 The amounts recognised to profit or loss on investment property is as follows :**

|                                                                        |                |                |
|------------------------------------------------------------------------|----------------|----------------|
| Direct expenses (including security charges and other utility charges) | 637,100        | 512,445        |
|                                                                        | <u>637,100</u> | <u>512,445</u> |

22.2 INVESTMENT PROPERTY (CONTD..)

| Location of the land                                                           | Valuers name and report date                                                            | 31.03.2016        |             | 31.03.2015        |             |
|--------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|-------------------|-------------|-------------------|-------------|
|                                                                                |                                                                                         | Fair value<br>Rs. | Cost<br>Rs. | Fair value<br>Rs. | Cost<br>Rs. |
| Lot 05, Dangahahena Land, Anamaduwa Road, Andigama.                            | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 29th March, 2014       | 9,650,000         | 1,250,000   | 9,650,000         | 1,250,000   |
| Kekunegawatte Land, Wattegedara Road, Maharagama.                              | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 28th March, 2014       | -                 | -           | 22,700,000        | 15,748,800  |
| Delgahawaththa Land, Walpitamulla, Dewalapola, Naiwala, Gampaha                | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 28th March, 2014       | 1,750,000         | 500,000     | 1,750,000         | 500,000     |
| No 25/20, Kalyani Mawatha, Mabola, Wattala.                                    | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 29th March, 2014       | 17,800,000        | 15,453,317  | 17,800,000        | 15,453,317  |
| Lot no. 21 at Thumbowila West, Piliyandala.                                    | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 28th March, 2014       | 3,000,000         | 1,800,000   | 3,000,000         | 1,800,000   |
| Lot no. 01 at Andiambalama, Kimbulapitiya.                                     | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 05th December, 2012    | 4,030,000         | 3,500,000   | 4,030,000         | 3,500,000   |
| Plan no. 377, NavindanKandu, Kaddaikadu Thoppukadu.                            | V. Selvanayakam AIV (Incorporated Valuer)<br>- valuation report dated 16th May, 2014    | 4,000,000         | 3,160,226   | 4,000,000         | 3,160,226   |
| Athurgiriya Land (No861/5 Authurugiriya Road, Hokanadara North, Authurugiriya) | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 28th May, 2014         | 20,000,000        | 9,730,451   | 20,000,000        | 9,730,451   |
| Lot 08 Kosgahawatta Land (Pinkellawatta Road, Hirana, Panadura)                | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 03rd March, 2014       | 1,340,000         | 1,200,000   | 1,340,000         | 1,200,000   |
| Gonapola Land (No358, Horana Colombo Road, Kumbuka Gonapola)                   | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 15th August, 2014      | 20,250,000        | 19,500,000  | 20,250,000        | 19,500,000  |
| Manipay Land (No 55 Nachchimar Kovil Road, Manipay)                            | V. Selvanayakam AIV (Incorporated Valuer)<br>- valuation report dated 08th August, 2014 | 10,000,000        | 9,000,000   | 10,000,000        | 9,000,000   |
| No;21,14th Lane,I.Jothipala Mawatha,Malabe                                     | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 20th Feb 2015          | 13,500,000        | 12,865,866  | -                 | -           |
| Lot 1-46 Plan no;3393 at Tembiligaha Pallegama Gampola                         | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 10th October, 2015     | 17,700,000        | 14,964,221  | -                 | -           |
| Lot No;1 in Plan no;5644 at Lenadora,Dambulla                                  | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 12th October, 2015     | 33,000,000        | 16,644,799  | -                 | -           |
| Oslo furnitures Industries (Pvt) Ltd Welagane,Maspotha,Kurunegala              | D. Jayawardene (Incorporated Valuer)<br>- valuation report dated 05th October, 2015     | 59,000,000        | 34,137,684  | -                 | -           |
|                                                                                |                                                                                         | 215,020,000       | 143,706,564 | 114,520,000       | 80,842,794  |



23. INTANGIBLE ASSETS

23.1 Gross carrying amounts

|                  | Balance<br>as at<br>01.04.2015<br>Rs. | Additions<br>Rs. | Disposals/<br>Transfers<br>Rs. | Balance<br>as at<br>31.03.2016<br>Rs. |
|------------------|---------------------------------------|------------------|--------------------------------|---------------------------------------|
| Cost             |                                       |                  |                                |                                       |
| Intangible asset | 18,679,207                            | 2,340,648        | -                              | 21,019,855                            |
|                  | <u>18,679,207</u>                     | <u>2,340,648</u> | <u>-</u>                       | <u>21,019,855</u>                     |

23.2 Amortization

|                  | Balance<br>as at<br>01.04.2015<br>Rs. | Charge<br>for the<br>Year<br>Rs. | Disposals/<br>Transfers<br>Rs. | Balance<br>as at<br>31.03.2016<br>Rs. |
|------------------|---------------------------------------|----------------------------------|--------------------------------|---------------------------------------|
| Intangible asset | 6,901,169                             | 2,533,024                        | -                              | 9,434,193                             |
|                  | <u>6,901,169</u>                      | <u>2,533,024</u>                 | <u>-</u>                       | <u>9,434,193</u>                      |

|                  | 31.03.2016<br>Rs. | 31.03.2015<br>Rs. |
|------------------|-------------------|-------------------|
| Net book value   |                   |                   |
| Intangible asset | 11,585,662        | 11,778,038        |
|                  | <u>11,585,662</u> | <u>11,778,038</u> |

24. DUE TO BANKS

|                               |                    |               |
|-------------------------------|--------------------|---------------|
| Due to banks- bank overdrafts | 166,925,303        | 62,326        |
|                               | <u>166,925,303</u> | <u>62,326</u> |

25. OTHER LIABILITIES

|                                       |                   |                   |
|---------------------------------------|-------------------|-------------------|
| Other payables - related party (25.1) | 23,595            | 567,051           |
| Accrued expenses and other payables   | 40,387,189        | 30,986,678        |
|                                       | <u>40,410,784</u> | <u>31,553,729</u> |

25.1 Other payables - related party

|                  |               |                |
|------------------|---------------|----------------|
| Asia Capital PLC | 23,595        | 567,051        |
|                  | <u>23,595</u> | <u>567,051</u> |

26. CURRENT TAX LIABILITIES

|                                       |                   |                    |
|---------------------------------------|-------------------|--------------------|
| Balance at the beginning of the year  | (3,472,184)       | (3,870,578)        |
| Income tax expense for the year       | 37,078,730        | 10,728,147         |
| Under/over provision of previous year | (742,029)         | (226,806)          |
|                                       | <u>32,864,517</u> | <u>6,630,763</u>   |
| Less: Tax credits                     |                   |                    |
| WHT and notional tax                  | (4,820,000)       | (10,102,947)       |
| Balance at the end of the year        | <u>28,044,517</u> | <u>(3,472,184)</u> |



|                                 |  | 31.03.2016<br>Rs.    | 31.03.2015<br>Rs.  |
|---------------------------------|--|----------------------|--------------------|
| <b>27. OTHER BORROWED FUNDS</b> |  |                      |                    |
| Bank loans (note 27.1)          |  | 1,609,833,175        | 344,516,666        |
|                                 |  | <u>1,609,833,175</u> | <u>344,516,666</u> |

| 27.1 Bank loans       | As at<br>01.04.2015<br>Rs. | Loans<br>obtained<br>Rs. | Interest for<br>the period<br>Rs. | Repayments<br>Rs.    | As at<br>31.03.2016<br>Rs. |
|-----------------------|----------------------------|--------------------------|-----------------------------------|----------------------|----------------------------|
| DFCC Vardhana Bank    | 13,740,812                 | -                        | 602,461                           | (14,343,273)         | -                          |
| Sampath Bank Loan     | -                          | 200,000,000              | 3,278,465                         | (11,241,163)         | 192,037,302                |
| Securitization Loan 1 | 330,775,854                | -                        | 32,141,587                        | (164,999,997)        | 197,917,444                |
| Securitization Loan 2 | -                          | 199,874,187              | 12,961,011                        | (81,538,462)         | 131,296,736                |
| Securitization Loan 3 | -                          | 500,000,000              | 35,825,597                        | (70,000,000)         | 465,825,597                |
| Securitization Loan 4 | -                          | 200,000,000              | 9,604,101                         | -                    | 209,604,101                |
| Securitization Loan 5 | -                          | 211,281,232              | 1,805,602                         | -                    | 213,086,834                |
| DFCC Vardhana Bank    | -                          | 200,000,000              | 65,161                            | -                    | 200,065,161                |
|                       | <u>344,516,666</u>         | <u>1,511,155,419</u>     | <u>96,283,985</u>                 | <u>(342,122,895)</u> | <u>1,609,833,175</u>       |

**27.1.1 Loan details**

| Bank                        | Approved<br>facility | Purpose                      | Term of the<br>loan    | Security                                                                           | Security<br>amount<br>Rs. |
|-----------------------------|----------------------|------------------------------|------------------------|------------------------------------------------------------------------------------|---------------------------|
| DFCC Vardhana Bank          | Rs. 40 Mn            | Working capital requirements | 36 monthly instalments | Corporate guarantee of Asia Capital PLC                                            | Rs.40 MN                  |
| Sampath Bank PLC            | Rs. 200 Mn           | Working capital requirements | 48 monthly instalments | Loan agreement for Rs.200 Mn.                                                      | N/A                       |
| BOC - Securitization Loan 1 | Rs. 400 Mn           | Working capital requirements | 37 Monthly instalments | Lease and hire purchase of Asia Asset Finance PLC                                  | Rs.200 Mn                 |
| BOC - Securitization Loan 2 | Rs. 199.8 Mn         | Working capital requirements | 18 Monthly instalments | Fixed deposit pledged loan and micro finance receivables of Asia Asset Finance PLC | Rs.199 Mn                 |
| BOC - Securitization Loan 3 | Rs. 500 Mn           | Working capital requirements | 36 Monthly instalments | Vehicle mortgage and group personal loan receivable of Asia Asset Finance PLC      | Rs.500 Mn                 |
| BOC - Securitization Loan 4 | Rs. 200 Mn           | Working capital requirements | 30 Monthly instalments | Lease and hire purchase and vehicle mortgage of Asia Asset Finance PLC             | Rs.200 Mn                 |
| BOC - Securitization Loan 5 | Rs. 211 Mn           | Working capital requirements | 48 Monthly instalments | Lease and Hire Purchase and vehicle mortgage of Asia Asset Finance PLC             | Rs.200 Mn                 |
| DFCC Bank PLC               | Rs.200 Mn            | Working capital requirements | 48 Monthly instalments | Promissory note for Rs.200 Mn.                                                     | Rs.200 Mn                 |



|                                                              | 31.03.2016<br>Rs.    | 31.03.2015<br>Rs.    |
|--------------------------------------------------------------|----------------------|----------------------|
| <b>28. DUE TO CUSTOMERS</b>                                  |                      |                      |
| Fixed deposits                                               | 4,796,299,899        | 3,672,180,230        |
|                                                              | <u>4,796,299,899</u> | <u>3,672,180,230</u> |
| <b>29. RETIREMENT BENEFIT OBLIGATION</b>                     |                      |                      |
| <b>Retirement benefit obligations - gratuity</b>             |                      |                      |
| Balance at the beginning of the year                         | 10,384,222           | 6,703,598            |
| Amount charged/(reversed) for the year                       | 2,286,366            | 3,680,624            |
| Payments made during the year                                | (315,000)            | -                    |
| Balance at the end of the year                               | <u>12,355,588</u>    | <u>10,384,222</u>    |
| <b>29.1 Amount recognized in statement of profit or loss</b> |                      |                      |
| Current Service cost for the year                            | 2,085,289            | 1,893,474            |
| Interest cost for the year                                   | 1,038,422            | 737,396              |
|                                                              | <u>3,123,711</u>     | <u>2,630,870</u>     |
| <b>29.2 Amount Recognised in Other Comprehensive Income</b>  |                      |                      |
| Actuarial gain/loss for the year                             | (837,345)            | 1,049,754            |
|                                                              | <u>(837,345)</u>     | <u>1,049,754</u>     |

**29.3** Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation for Asia Asset Finance PLC of the retirement benefit obligation as at 31st March, 2016. The valuation method used by the Actuary to value the liability is the 'Projected Unit Credit Actuarial Cost Method' recommended by LKAS 19. Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

| Actuarial Assumptions | 31.03.2016<br>Rs.                                     | 31.03.2015<br>Rs. |
|-----------------------|-------------------------------------------------------|-------------------|
| Discount rate         | 13%                                                   | 10%               |
| Salary increment rate | 10%                                                   | 8.3%              |
| Staff turnover        | 15%                                                   | 12.5%             |
| Retirement age        | 55 Years                                              | 55 Years          |
| Mortality             | 67/70 Mortality Table (Institute of Actuaries London) |                   |

**29.4 Sensitivity analysis**

In order to illustrate the significance of the salary increment rates and discount rates assumed in the valuation, the sensitivity analysis is as follows:

|                                                            | 31.03.2016<br>Rs. | 31.03.2015<br>Rs. |
|------------------------------------------------------------|-------------------|-------------------|
| <b>Discount rate</b>                                       |                   |                   |
| Effect on retirement benefit obligation due to 1% increase | 11,763,812        | 9,855,575         |
| Effect on retirement benefit obligation due to 1% decrease | 12,821,037        | 10,974,126        |
| <b>Salary increment rate</b>                               |                   |                   |
| Effect on retirement benefit obligation due to 1% increase | 12,766,595        | 11,012,339        |
| Effect on retirement benefit obligation due to 1% decrease | 11,806,126        | 9,812,689         |



**30. STATED CAPITAL**

|                                                | 31.03.2016         |                      | 31.03.2015         |                      |
|------------------------------------------------|--------------------|----------------------|--------------------|----------------------|
|                                                | Number             | Rs.                  | Number             | Rs.                  |
| <b>30.1 Fully paid ordinary shares</b>         | <b>839,207,833</b> | <b>1,388,935,273</b> | <b>839,207,833</b> | <b>1,388,935,273</b> |
| <b>30.1.1</b> Balance at beginning of the year | 839,207,833        | 1,388,935,273        | 559,471,889        | 945,130,285          |
| Rights issue of shares                         | -                  | -                    | 279,735,944        | 447,577,513          |
| Direct costs relating to issue of shares       | -                  | -                    | -                  | (3,772,525)          |
| Balance at end of the year                     | <u>839,207,833</u> | <u>1,388,935,273</u> | <u>839,207,833</u> | <u>1,388,935,273</u> |

**30.2 Rights of shareholders**

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting.

All shares rank equally with regard to the company's residual assets.

|                                                  | 31.03.2016        | 31.03.2015        |
|--------------------------------------------------|-------------------|-------------------|
|                                                  | Rs.               | Rs.               |
| <b>31. STATUTORY RESERVE FUND OTHER RESERVES</b> |                   |                   |
| Statutory reserve fund                           | 42,579,648        | 33,788,597        |
| General reserve                                  | 3,000,000         | 3,000,000         |
|                                                  | <u>45,579,648</u> | <u>36,788,597</u> |

**31.1 Statutory reserve fund**

Statutory Reserve Fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies (Capital Funds) Direction No. 1 of 2003.

**31.2 General reserve**

General Reserve represents the amounts set aside by the directors for general application.

**32. EARNINGS PER SHARE**

**32.1** Basic earnings per share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the period.

**32.2** The following reflects the Income and Share data used in the basic earnings per share computation.

|                                                                                    | 31.03.2016         | 31.03.2015         |
|------------------------------------------------------------------------------------|--------------------|--------------------|
|                                                                                    | Rs.                | Rs.                |
| <b>Amounts used as the numerators:</b>                                             |                    |                    |
| Net Profit Attributable to Ordinary Shareholders for Basic Earnings Per Share      | <u>175,218,124</u> | <u>101,185,804</u> |
| <b>Number of ordinary shares used as denominators for basic earnings per share</b> | <b>31.03.2016</b>  | <b>31.03.2015</b>  |
|                                                                                    | <b>Number</b>      | <b>Number</b>      |
| Weighted average number of ordinary shares in issue                                | 839,207,833        | 683,199,480        |
| Basic earnings per share                                                           | <u>0.21</u>        | <u>0.15</u>        |



### 33. CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of business, the company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

|                                  |        | 31.03.2016<br>Rs.  | 31.03.2015<br>Rs. |
|----------------------------------|--------|--------------------|-------------------|
| <b>33.1 Commitments</b>          |        |                    |                   |
| Promissory note to DFCC Bank PLC |        | 200,000,000        | -                 |
| Undrawn commitments              | 33.1.1 | 10,794,538         | 5,743,458         |
| Commitments for software         |        | -                  | 18,695,667        |
|                                  |        | <u>210,794,538</u> | <u>24,439,125</u> |

#### 33.1.1 Undrawn commitments

Undrawn commitments consists of facilities granted to customers where the company reserves the right to unconditionally cancel or recall the facility at its discretion.

#### 33.2 Contingent liabilities

The company does not have significant contingent liabilities as at the reporting date.

### 34. ASSETS PLEDGED

The following assets have been pledged as securities for liabilities.

| Nature of assets                                  | Nature of liabilities       | Carrying amount pledged |                   | Included under                                                     |
|---------------------------------------------------|-----------------------------|-------------------------|-------------------|--------------------------------------------------------------------|
|                                                   |                             | 31.03.2016<br>Rs.       | 31.03.2015<br>Rs. |                                                                    |
| Lease and hire purchase                           | BOC - securitization loan 1 | 197,917,444             | 494,000,000       | Lease rentals receivables and hire purchase                        |
| Fixed deposits pledged loans and micro finance    | BOC - securitization loan 2 | 131,296,736             | -                 | Loans and advances                                                 |
| Vehicle mortgaged loans and group personnel loans | BOC - securitization loan 3 | 465,825,597             | -                 | Loans and advances                                                 |
| Hire purchase and lease                           | BOC - securitization loan 4 | 209,604,101             | -                 | Lease rentals receivables and hire purchase                        |
| Hire purchase and vehcoile mortgaged loans        | BOC - securitization loan 5 | 213,086,834             | -                 | Loans and advances and lease rentals receivables and hire purchase |



### 35. MATURITY ANALYSIS

An analysis of the total assets employed and total liabilities at the year end, based on the remaining at the reporting date to the respective contractual maturity dates are given below.

|                                             | Less than 3<br>months<br>Rs. | 3-12<br>months<br>Rs. | 1-3<br>years<br>Rs.  | Over 3<br>years<br>Rs. | Total<br>Rs.         |
|---------------------------------------------|------------------------------|-----------------------|----------------------|------------------------|----------------------|
| Cash and cash equivalents                   | 690,797,870                  | -                     | -                    | -                      | 690,797,870          |
| agreements against treasury bills and bonds | 328,866,266                  | -                     | -                    | -                      | 328,866,266          |
| Other financial assets                      | 8,817,330                    | -                     | -                    | -                      | 8,817,330            |
| Financial assets - held for trading         | 48,244,689                   | -                     | -                    | -                      | 48,244,689           |
| Loans and advances                          | 1,515,437,304                | 1,639,225,166         | 1,381,888,873        | 290,021,443            | 4,825,421,160        |
| Lease rentals receivable and hire purchase  | 684,021,539                  | 609,968,418           | 401,892,058          | 6,537,237              | 1,702,419,253        |
| Real estate inventories                     | 34,468,475                   | -                     | -                    | -                      | 34,468,475           |
| Other assets                                | 14,958,827                   | -                     | -                    | -                      | 14,958,827           |
| Deposits and prepayments                    | 2,172,627                    | 7,017,023             | 26,097,732           | 24,891,368             | 60,178,750           |
| Financial assets - available for sale       | -                            | -                     | -                    | 506,659                | 506,659              |
| Property, plant and equipment               | -                            | -                     | -                    | 145,026,853            | 145,026,853          |
| Investment property                         | -                            | -                     | -                    | 143,706,564            | 143,706,564          |
| Deferred tax asset                          | -                            | -                     | 100,402,344          | -                      | 100,402,344          |
| Intangible assets                           | -                            | -                     | -                    | 11,585,662             | 11,585,662           |
| <b>As at 31.03.2016</b>                     | <b>3,327,784,927</b>         | <b>2,256,210,607</b>  | <b>1,910,281,007</b> | <b>622,275,786</b>     | <b>8,115,400,702</b> |
| <b>As at 31.03.2015</b>                     | <b>1,988,508,912</b>         | <b>1,332,772,599</b>  | <b>1,402,788,972</b> | <b>656,492,094</b>     | <b>5,344,407,597</b> |
| <b>Liabilities</b>                          |                              |                       |                      |                        |                      |
| Due to banks                                | 166,925,303                  | -                     | -                    | -                      | 166,925,303          |
| Other liabilities                           | 40,410,784                   | -                     | -                    | -                      | 40,410,784           |
| Current tax liabilities                     | 28,044,517                   | -                     | -                    | -                      | 28,044,517           |
| Other borrowed funds                        | 46,683,025                   | 99,916,201            | 197,917,441          | 1,265,316,509          | 1,609,833,175        |
| Due to customers                            | 616,820,408                  | 2,202,675,684         | 1,864,905,283        | 111,898,525            | 4,796,299,899        |
| Retirement benefit obligation               | -                            | -                     | -                    | 12,355,588             | 12,355,588           |
| <b>As at 31.03.2016</b>                     | <b>898,884,037</b>           | <b>2,302,591,885</b>  | <b>2,062,822,724</b> | <b>1,389,570,622</b>   | <b>6,653,869,266</b> |
| <b>As at 31.03.2015</b>                     | <b>695,119,488</b>           | <b>2,178,634,658</b>  | <b>1,062,822,724</b> | <b>122,120,305</b>     | <b>4,058,697,173</b> |
| <b>Net amount</b>                           |                              |                       |                      |                        |                      |
| <b>As at 31.03.2016</b>                     | <b>2,428,900,890</b>         | <b>(46,381,278)</b>   | <b>(152,541,717)</b> | <b>(767,294,836)</b>   | <b>1,461,531,436</b> |
| <b>As at 31.03.2015</b>                     | <b>1,293,389,424</b>         | <b>(845,862,059)</b>  | <b>339,966,248</b>   | <b>534,371,789</b>     | <b>1,285,710,424</b> |

36. CURRENT / NON CURRENT ANALYSIS

|                                             | 31.03.2016                 |                           |                      | 31.03.2015                 |                           |                      |
|---------------------------------------------|----------------------------|---------------------------|----------------------|----------------------------|---------------------------|----------------------|
|                                             | Within<br>12 months<br>Rs. | After<br>12 months<br>Rs. | Total<br>Rs.         | Within<br>12 months<br>Rs. | After<br>12 months<br>Rs. | Total<br>Rs.         |
| Cash and cash equivalents                   | 690,797,870                | -                         | 690,797,870          | 446,524,236                | -                         | 446,524,236          |
| agreements against treasury bills and bonds | 328,866,266                | -                         | 328,866,266          | 259,698,505                | -                         | 259,698,505          |
| Other financial assets                      | 8,817,330                  | -                         | 8,817,330            | 9,254,835                  | -                         | 9,254,835            |
| Financial assets - held for trading         | 48,244,689                 | -                         | 48,244,689           | 69,263,955                 | -                         | 69,263,955           |
| Loans and advances                          | 3,153,510,844              | 1,671,910,316             | 4,825,421,160        | 1,729,354,285              | 1,158,016,355             | 2,887,370,640        |
| Lease rentals receivable and hire purchase  | 1,293,989,958              | 408,429,295               | 1,702,419,253        | 654,597,821                | 595,929,309               | 1,250,527,130        |
| Vehicle stock                               | -                          | -                         | -                    | 46,797,426                 | -                         | 46,797,426           |
| Real estate inventories                     | 34,468,475                 | -                         | 34,468,475           | 41,698,793                 | -                         | 41,698,793           |
| Other assets                                | 14,958,827                 | -                         | 14,958,827           | 23,966,862                 | -                         | 23,966,862           |
| Income tax receivable                       | -                          | -                         | -                    | 3,472,184                  | -                         | 3,472,184            |
| Advances, deposits and prepayments          | 9,189,650                  | 50,989,100                | 60,178,750           | 36,667,842                 | 10,593,806                | 47,261,648           |
| Financial assets - available for sale       | -                          | 506,659                   | 506,659              | -                          | 578,617                   | 578,617              |
| Property, plant and equipment               | -                          | 145,026,853               | 145,026,853          | -                          | 67,526,350                | 67,526,350           |
| Investment property                         | -                          | 143,706,564               | 143,706,564          | -                          | 80,842,794                | 80,842,794           |
| Deferred tax asset                          | -                          | 100,402,344               | 100,402,344          | -                          | 97,845,584                | 97,845,584           |
| Intangible assets                           | -                          | 11,585,662                | 11,585,662           | -                          | 11,778,038                | 11,778,038           |
| <b>Total assets</b>                         | <b>5,582,843,909</b>       | <b>2,532,556,793</b>      | <b>8,115,400,702</b> | <b>3,321,296,744</b>       | <b>2,023,110,853</b>      | <b>5,344,407,597</b> |
| <b>Liabilities</b>                          | -                          | -                         | -                    | -                          | -                         | -                    |
| Due to banks                                | 166,925,303                | -                         | 166,925,303          | 62,326                     | -                         | 62,326               |
| Other liabilities                           | 40,410,784                 | -                         | 40,410,784           | 31,553,729                 | -                         | 31,553,729           |
| Current tax liabilities                     | 28,044,517                 | -                         | 28,044,517           | -                          | -                         | -                    |
| Other borrowed funds                        | 146,599,225                | 1,463,233,950             | 1,609,833,175        | 146,599,226                | 197,917,440               | 344,516,666          |
| Due to customers                            | 2,819,496,092              | 1,976,803,807             | 4,796,299,899        | 2,695,538,865              | 976,641,365               | 3,672,180,230        |
| Retirement benefit liability                | -                          | 12,355,588                | 12,355,588           | -                          | 10,384,222                | 10,384,222           |
| <b>Total liabilities</b>                    | <b>3,201,475,921</b>       | <b>3,452,393,345</b>      | <b>6,653,869,266</b> | <b>2,873,754,146</b>       | <b>1,184,943,027</b>      | <b>4,058,697,173</b> |
| <b>Net balance</b>                          | <b>2,381,367,989</b>       | <b>(919,836,553)</b>      | <b>1,461,531,436</b> | <b>447,542,598</b>         | <b>838,167,826</b>        | <b>1,285,710,425</b> |

**37. ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY**

**37.1 Determination of fair value and fair value hierarchy**

As at 31 March 2016 the company held the following assets carried at fair value on the statement of financial position. The company uses the following hierarchy for determining and disclosing the fair value of those assets by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

**37.1.1 Assets measured at fair value**

| <b>31.03.2016</b>                     |                   |                        |                        |                        |
|---------------------------------------|-------------------|------------------------|------------------------|------------------------|
|                                       | <b>Rs.</b>        | <b>Level 1<br/>Rs.</b> | <b>Level 2<br/>Rs.</b> | <b>Level 3<br/>Rs.</b> |
| Financial assets - held For trading   | 48,244,689        | 48,244,689             | -                      | -                      |
| Financial assets - available for sale | 506,659           | -                      | -                      | 506,659                |
| <b>Total assets at fair value</b>     | <b>48,751,348</b> | <b>48,244,689</b>      | <b>-</b>               | <b>506,659</b>         |
| <b>31.03.2015</b>                     |                   |                        |                        |                        |
|                                       | <b>Rs.</b>        | <b>Level 1<br/>Rs.</b> | <b>Level 2<br/>Rs.</b> | <b>Level 3<br/>Rs.</b> |
| Financial assets - held for trading   | 69,263,955        | 69,263,955             | -                      | -                      |
| Financial assets - available for sale | 578,617           | -                      | -                      | 578,617                |
| <b>Total assets at fair value</b>     | <b>69,842,572</b> | <b>69,263,955</b>      | <b>-</b>               | <b>578,617</b>         |

38. FINANCIAL REPORTING BY SEGMENT

|                                         | Finance lease |             | Hire purchase |             | Loans and advances |               | Investment  |             | Other         |              | Total         |               |
|-----------------------------------------|---------------|-------------|---------------|-------------|--------------------|---------------|-------------|-------------|---------------|--------------|---------------|---------------|
|                                         | 31.03.2016    | 31.03.2015  | 31.03.2016    | 31.03.2015  | 31.03.2016         | 31.03.2015    | 31.03.2016  | 31.03.2015  | 31.03.2016    | 31.03.2015   | 31.03.2016    | 31.03.2015    |
|                                         | Rs.           | Rs.         | Rs.           | Rs.         | Rs.                | Rs.           | Rs.         | Rs.         | Rs.           | Rs.          | Rs.           | Rs.           |
| Interest income                         | 243,917,442   | 77,464,733  | 88,494,113    | 128,594,708 | 878,266,791        | 580,481,435   | 54,323,483  | 63,906,219  | -             | -            | 1,265,001,829 | 850,447,095   |
| Other income                            | 18,368,400    | 27,492,607  | 5,647,874     | 3,428,871   | 70,889,699         | 15,478,054    | (2,277,421) | 1,704,006   | 26,179,122    | 22,731,698   | 118,807,674   | 70,835,236    |
| Total revenue                           | 262,285,842   | 104,957,340 | 94,141,987    | 132,023,580 | 949,156,490        | 595,959,489   | 52,046,062  | 65,610,225  | 26,179,122    | 22,731,698   | 1,383,809,503 | 921,282,331   |
| Segmental result                        | 48,649,404    | 35,384,009  | 17,388,532    | 17,987,448  | 175,396,670        | 80,154,754    | 10,330,059  | 8,824,377   | 4,826,515.00  | (18,303,583) | 256,591,180   | 124,047,005   |
| Value added tax on financial services   |               |             |               |             |                    |               |             |             |               |              | 47,358,658    | 21,284,545    |
| Profits from operations                 |               |             |               |             |                    |               |             |             |               |              | 209,232,522   | 102,762,460   |
| Income tax charge/reversal for the year |               |             |               |             |                    |               |             |             |               |              | (34,014,398)  | (1,576,656)   |
| Net profit for the year                 |               |             |               |             |                    |               |             |             |               |              | 175,218,124   | 101,185,804   |
| Segment assets                          | 1,317,971,719 | 594,866,084 | 384,447,534   | 655,661,047 | 4,825,421,160      | 2,887,370,640 | 385,928,285 | 338,217,295 | -             | -            | 6,913,768,698 | 4,476,115,066 |
| Unallocated assets                      | -             | -           | -             | -           | -                  | -             | -           | -           | 1,201,632,004 | 868,292,530  | 1,201,632,004 | 868,292,530   |
| Total assets                            | 1,317,971,719 | 594,866,084 | 384,447,534   | 655,661,047 | 4,825,421,160      | 2,887,370,640 | 385,928,285 | 338,217,295 | 1,201,632,004 | 868,292,530  | 8,115,400,702 | 5,344,407,596 |
| Segment liabilities                     | 1,220,997,759 | 408,759,176 | 356,160,584   | 450,534,122 | 4,471,442,346      | 1,984,041,912 | 357,532,384 | 232,404,278 | -             | 596,440,742  | 6,406,133,074 | 3,672,180,230 |
| Unallocated liabilities                 | -             | -           | -             | -           | -                  | -             | -           | -           | 247,736,192   | 386,516,943  | 247,736,192   | 386,516,943   |
| Total liabilities                       | 1,220,997,759 | 408,759,176 | 356,160,584   | 450,534,122 | 4,471,442,346      | 1,984,041,912 | 357,532,384 | 232,404,278 | 247,736,192   | 982,957,685  | 6,653,869,266 | 4,058,697,173 |

In determining segment results, expenses have been allocated proportionately based on interest income and Segment Liabilities have been proportionately allocated based on the segment assets.

39. EVENTS OCCURRING AFTER THE REPORTING DATE

There have been no material events occurring after the reporting date that require adjustments to or disclosures in the financial statements.



#### 40. RELATED PARTY DISCLOSURES

The company carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

##### 40.1 Parent and ultimate controlling party

The ultimate parent of the company as at 31st March 2016 is Muthoot Finance Limited.

##### 40.2 Transactions with related entities

###### 40.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

| Transactions during the year                  | 31.03.2016<br>Rs. | 31.03.2015<br>Rs. |
|-----------------------------------------------|-------------------|-------------------|
| Expenses incurred for Muthoot Finance Limited | 722,597           | -                 |
| Cash received from right issue                | -                 | 342,409,369       |

###### 40.2.2 Asia Capital PLC

Relationship - Ultimate parent till 30th October 2014

Related entity from 30th October 2014 with 18% ownership in shares and with one board member appointed from Asia Capital PLC

| Transactions during the year                                                                | 31.03.2016<br>Rs. | 31.03.2015<br>Rs. |
|---------------------------------------------------------------------------------------------|-------------------|-------------------|
| Receipt of operating lease rentals                                                          | 543,456           | 991,283           |
| Cash received from right issue - before 30th October 2014                                   | -                 | 63,785,116        |
| Expenses incurred                                                                           | -                 | 717,923           |
| Withdrawals of investment in reverse repurchase agreements against treasury bills and bonds | -                 | 107,492,585       |
| <b>Income statement items</b>                                                               |                   |                   |
| Other income                                                                                | -                 | 1,012,680         |
| Operating lease rental income                                                               |                   |                   |
| - For the year ended 31st March, 2016                                                       | 1,086,912         | -                 |
| - Till 30th October 2014                                                                    | -                 | 731,136           |
| - From 30th October 2014 to 31st March, 2015                                                | -                 | 363,936           |
| <b>Items in statement of financial position</b>                                             |                   |                   |
| Financial assets - held for trading                                                         | 675,120           | 1,012,680         |



#### 40.2.3 Fellow subsidiaries of Asia Capital PLC

The fellow subsidiaries includes Asia Securities (Private) Limited, Asia Fort Sri Lanka Direct Investment Fund (Private) Limited, Asia Tea Packaging (Private) Limited, Asia Leisure Holding (Private) Limited, Lanka Fortune Residencies (Private) Limited and Asia Wealth Management Company (Private) Limited. Those fellow subsidiaries are the subsidiaries of the Former Ultimate Parent Asia Capital PLC.

| Transactions during the year                                                                             | 31.03.2016<br>Rs.         | 31.03.2015<br>Rs.         |
|----------------------------------------------------------------------------------------------------------|---------------------------|---------------------------|
| Rent income received - Asia Securities (Private) Limited                                                 | -                         | 1,203,015                 |
| Purchase of quoted shares on behalf of the company- Asia Securities (Private) Limited                    | -                         | 22,160,873                |
| Sale of quoted shares on behalf of the company - Asia Securities (Private) Limited                       | -                         | 160,597,827               |
| Conversion of commercial papers to a loan - Asia Fort Sri Lanka Direct Investment Fund (Private) Limited | -                         | 23,605,160                |
| Expenses incurred - Asia Securities (Private) Limited                                                    | -                         | 528,000                   |
| Settlement of loan - Lanka Fortune Residencies (Private) Limited                                         | -                         | 35,683,267                |
| <b>Statement of profit or loss and other comprehensive income items</b>                                  |                           |                           |
| Rent income - Asia Securities (Private) Limited                                                          | -                         | 32,000                    |
| Interest income on Commercial Papers - Asia Fort Sri Lanka Direct Investment Fund (Private) Limited      | -                         | 1,988,550                 |
| Interest Income                                                                                          | -                         | -                         |
| - Asia Leisure Holding (Private) Ltd                                                                     | -                         | 3,850,002                 |
| - Lanka Fortune Residencies (Private) Limited                                                            | -                         | 6,950,946                 |
| - Asia Wealth Management Company (Private) Limited                                                       | -                         | 1,871,258                 |
| - Asia Tea Packaging (Private) Limited                                                                   | -                         | 680,984                   |
| <b>Items in statement of financial position</b>                                                          | <b>31.03.2016<br/>Rs.</b> | <b>31.03.2015<br/>Rs.</b> |
| Loans and advances                                                                                       |                           |                           |
| - Asia Leisure Holding (Private) Ltd                                                                     | -                         | 48,377,870                |
| - Asia Wealth Management Company (Private) Limited                                                       | -                         | 17,590,824                |

#### 40.3 Transactions with key management personnel of the company

The key managerial personnel of the company are the members of its board of directors and the parent company. Following transactions are entered between the company and its key management personnel and their close family members.

|                                                                | 31.03.2016<br>Rs. | 31.03.2015<br>Rs. |
|----------------------------------------------------------------|-------------------|-------------------|
| <b>40.3.1 Key management personnel compensation</b>            |                   |                   |
| Short term employment benefits paid                            | 25,219,176        | 20,415,241        |
| <b>40.3.2 Other transactions with key management personnel</b> |                   |                   |
| Fixed deposits held                                            | 9,326,687         | 26,915,387        |
| Upliftment of fixed deposits                                   | 3,116,687         | 11,250,137        |
| Interest expenses                                              | 110,141           | 1,660,308         |
| <b>40.3.3 Share transactions with key management personnel</b> |                   |                   |
| No. of ordinary shares held at the year end                    | 38,363,680        | 41,963,680        |



#### 41. RISK MANAGEMENT

The management of the company considers the Risk Management as an important factor behind the recent success of the company. The company has developed a culture within the organization, which shapes influences the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the company's management will be reviewed regularly through its committees and reported to the "integrated risk management committee" for reference and guidance. We believe successful Risk Management will enable the company to be resilient to any unfavourable event caused by internal or external factors.

##### 41.1 Risk management committees

###### 41.1.1 Assets and liability committee (ALCO)

ALCO is chaired by the chief executive officer and its representatives are, the general manager, the deputy general manager, the assistant general manager finance, the chief manager investment, the manager treasury & special projects, the assistant general manager-marketing and the analyst. The committee meeting is held once a month to monitor and manage the assets and liabilities of the company and also overall liquidity position to keep the company's liquidity at healthy levels whilst satisfying regulatory requirements.

###### 41.1.2 Integrated risk management committee (IRM)

The IRM committee, which has the responsibility to monitor the overall risk process within the company. The IRM committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. The IRM committee is responsible for managing risk decisions and monitoring risk levels and reports on periodical basis to the board.

##### 41.2 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honor its obligations in accordance with the terms of agreement. i.e the risk of default which is one of the most vulnerable risk faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the "credit risk management" is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution.

###### 41.2.1 Impairment assessment

For accounting purposes, the company uses a collective and individual model for the recognition of losses on impaired financial assets.

###### Individually assessed allowances

The Company determines the allowances appropriate for each individually significant leases, hire purchase and loan on an individual basis, including any overdue payments of interests or credit rating downgrades. Items considered when determining allowance amounts include the sustainability of the counterparty's business plan, its ability to improve performance if it is in a financial difficulty projected receipts and the availability of other financial support, the realisable value of collateral and the timing of the expected cash flows. Impairment allowances are evaluated at each reporting date.

###### Collectively assessed allowances

Allowances are assessed collectively for losses on leases, hire purchase and loan and for held to maturity debt investments that are not individually significant and for individually significant loans and advances that have been assessed individually and found not to be impaired.

The company generally bases its analyses on historical experience. However, when there are significant market developments, regional and/or global, the company would include macroeconomic factors within its assessments. These factors include, depending on the characteristics of the individual or collective assessment: unemployment rates, current levels of bad debts, changes in laws, changes in regulations, bankruptcy trends, and other consumer data. The company may use the aforementioned factors as appropriate to adjust the impairment allowances.

Allowances are evaluated separately at each reporting date with each portfolio.

The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments. The collective assessment takes account of data from the loan portfolio (such as historical losses on the portfolio, levels of arrears, loan to collateral ratios) or economic data (such as current economic conditions, unemployment levels and local or industry-specific problems). The approximate delay between the time a loss is likely to have been incurred and the time it will be identified as requiring an individually assessed impairment allowance is also taken into consideration. Management is responsible for deciding the length of this period, which can extend for as long as one year. The impairment allowance is then reviewed by management to ensure alignment with the company's overall policy.

41. RISK MANAGEMENT (Contd..)

41.2.2 Company's approach to credit risk

The company caters to mainly the Small and medium corporate sector and to the retail sector. Therefore, company has adopted a process where the credit evaluation is not restricted to its financials but also on qualitative factors, giving company the opportunity to evaluate customer's operations, product feasibility, management structure etc.

In order to mitigate the risk of exposing in to high risk sectors, AAF has imposed sector restrictions and exposure ceilings. Effective management of portfolio ensures that company avoids the risk of concentration of exposures. Further, company is continuously conducting environment analysis and periodic reviews to monitor credit exposures, portfolio performance and to identify emerging credit risks.

The recoveries department consistently monitors portfolio delinquency and the collections. A monthly report is submitted to the chief executive officer on the performance of individual marketer.

The credit policy of the company recommends an innovative approach in evaluating a borrower without hindering the credit quality. The company has introduced exposure ceilings, delegated authority levels for credit approval internal risk rating model and risk based pricing through the Credit Policy.

41.2.3 Credit quality by class of financial assets

|                                                                              | Neither<br>past due<br>nor impaired<br>Rs. | Past due<br>and impaired<br>Rs. | Individually<br>impaired<br>Rs. | 31/03/2016<br>Total<br>Rs. |
|------------------------------------------------------------------------------|--------------------------------------------|---------------------------------|---------------------------------|----------------------------|
| Cash and cash equivalents                                                    | 690,797,870                                | -                               | -                               | 690,797,870                |
| Investment in reverse repurchase agreements against treasury bills and bonds | 328,866,266                                | -                               | -                               | 328,866,266                |
| Other financial assets                                                       | 8,817,330                                  | -                               | -                               | 8,817,330                  |
| Financial assets - held For trading                                          | 48,244,689                                 | -                               | -                               | 48,244,689                 |
|                                                                              | 1,076,726,155                              | -                               | -                               | 1,076,726,155              |
| Loans and advances                                                           |                                            |                                 |                                 |                            |
| Gross loans and advances                                                     | 2,087,766,771                              | 2,858,824,030                   | 20,604,672                      | 4,967,195,473              |
| Less - impairment charge                                                     | (51,419,639)                               | (69,750,003)                    | (20,604,672)                    | (141,774,313)              |
|                                                                              | 2,036,347,133                              | 2,789,074,027                   | -                               | 4,825,421,160              |
| Lease rentals receivable and hire purchase                                   |                                            |                                 |                                 |                            |
| Gross lease rentals receivable and hire purchase                             | 1,197,295,289                              | 686,361,826                     | 3,173,990                       | 1,886,831,105              |
| Less - impairment charge                                                     | (117,019,187)                              | (64,218,675)                    | (3,173,990)                     | (184,411,852)              |
|                                                                              | 1,080,276,102                              | 622,143,151                     | -                               | 1,702,419,253              |
| Financial assets - available for sale                                        |                                            |                                 |                                 |                            |
| Financial assets - available for sale                                        | 578,617                                    | -                               | -                               | 7,078,617                  |
| Less - Impairment charge                                                     | (71,958)                                   | -                               | -                               | (6,571,958)                |
|                                                                              | 506,659                                    | -                               | -                               | 506,659                    |

**Note :** Neither past due not impaired lease rental receivables, hire purchase and loans include any facility that is not in arrears as at the reporting date and assessed for impairment on a collective basis. Past due but not impaired lease rental receivable, hire purchase and loans include any facility that is in arrears for more than one day and assessed for impairment on a collective basis.

#### 41. RISK MANAGEMENT (Contd..)

##### 41.2.4 Concentration of credit risk

The company's concentration of risk in relation to the lending portfolio is managed by the industry sector which is detailed below,

|                                                 | 31.03.2016<br>Rs.    | 31.03.2015<br>Rs.    |
|-------------------------------------------------|----------------------|----------------------|
| Textile and wearing apparel                     | 47,967,783           | 55,100,831           |
| Manufacturing                                   | 657,645,537          | 194,287,591          |
| Metals, chemicals and engineering               | 74,766,304           | 4,197,824            |
| Transport                                       | 404,592,289          | 326,682,070          |
| Services                                        | 1,127,798,640        | 821,646,494          |
| Agro-business and fisheries                     | 330,697,191          | 329,370,441          |
| Construction                                    | 199,668,484          | 157,769,224          |
| Commercial trading                              | 190,906,485          | 91,277,798           |
| Others                                          | 3,819,983,865        | 2,399,804,056        |
| <b>Total lending portfolio as at 31st March</b> | <b>6,854,026,578</b> | <b>4,380,136,329</b> |
| <b>Total receivable</b>                         |                      |                      |
| Loans and advances                              | 4,967,195,473        | 2,973,810,610        |
| Lease                                           | 1,406,434,897        | 664,481,058          |
| Hire purchase                                   | 480,396,208          | 741,844,661          |
|                                                 | <b>6,854,026,578</b> | <b>4,380,136,328</b> |

#### 41.3 Market risk

Market risk is identified by the company as the possibility of loss to the company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk.

##### 41.3.1 Interest rate risk

Interest rate risk is the potential negative impact on the net interest income based on rate fluctuations and impact to the profitability of the company. The company does not have variable interest rates and all facilities granted are on fixed interest rates.

When all borrowings and lending are done on fixed rates the net interest margin is affected due to the following reasons,

##### Maturity mismatch/GAP

One of the major concerns in financial business is the maturity mismatch, where the average loan period is over 2 years whilst the average deposit period is less than one year. Hence where the interests are on an increasing trend the company net interest margin will reduce.

Please refer note 35 to the financial statements for the maturity analysis.

##### Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance PLC.

##### Net interest position

When the market rates on a downward trend and the company earning assets are higher than its liabilities, the risk of net interest position falling is high.

##### Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims liquidity risk arises through maturity mismatch of loans and deposits.

##### Foreign exchange & country risk

FOREX is the risk that finance companies may suffer loss as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. Asia Asset Finance does not have any foreign borrowings or foreign transactions overseas except for Oracle financials licensing fee, which does not consist a substantial impact on the company to conduct in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.

